

Stride LRN

November 17, 2025 - 11:00am EST
by

scott265

			2025	2026
Price:	63.50	EPS	7.8	8.2
Shares Out. (in M):	44	P/E	8.3	7.5
Market Cap (in \$M):	2,800	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	490	590
TEV (in \$M):	2,400	TEV/EBIT	5	4.1

Description

LRN seems incredibly cheap and simple to me. It was posted at 160 recently but at 63.5 and a news event I think worth summarizing the story today.

The stock trades at 4.1x forward EBIT and traded 14x EBIT off 10% higher numbers two weeks (\$160) ago with little change in the business prospects. The company is cash rich (\$10/share in net cash) and has incredibly high incremental returns (Invested Capital is around 600mm with 500 of EBIT). In January we may have confidence that EBIT is growing 15-20% again on a stable and recurring revenue type business. If that happens, you'll get a multiple that should be close to it's historical 15x on 20% higher numbers which could result in a stock price which b/c of an aggressive buyback going on as we speak could result in a stock price close to \$200 versus \$63.5 today.

I'll keep the business description high level, explain the recent dramatic fall two weeks ago and why it continued falling last week. I also want to quickly touch on why it is quite different from other for public profit education companies (those in the college space.)

LRN operates virtual K-12 education. They were originally a content company and then expanded into school operations utilizing that content. They offer general education and many more vocational oriented programs. For Northeasterners, it sounds bizarre but in Oklahoma 5% of the students in the state are educated at home virtually. Some of these students come from the homeschool market where the parent can have influence but can also have a more formal education paid for by their respective district. Some of the students leave traditional schools because they are rural, bullied, athletics or fear of school violence. Some want more AP classes or niche or vocational classes than their respective school offers. The choice/charter movement allows these parents to have more influence, often better content and far more control. Covid also showed many parents homeschooling is an option. In many of these states, 5% of students were already home schooled so there is a natural market without any growth from people choosing to leave bricks and mortar.

LRN gets paid mostly by school districts. It's important to note that they have around 100 schools and are in nearly every state that allows choice. They have a small number of cash pay schools that operate nationally.

Prior to the recent fall, LRN had around an \$8B EV and traded around 14.5x the \$550mm estimated EBIT for the FYE June 26. That was predicated on around 10-15% enrollment growth.

Two weeks ago, they came out and said they had issues with utilizing a new learning management system and overall interface. They said EBIT would now be \$500mm with minimal enrollment growth (call it 5%) and said they lost 10-15k potential students (of a 250k base) due to the issues. To be clear those are incremental students they believe would have enrolled absent the issues or enrolled but quickly dropped due to the issues. They also said demand remains very strong. This sounded odd and they did a poor job of explaining it on the call which I believe led to more skepticism.

In speaking more to the company along with parents, it makes more sense.

They launched the new system in August. One parent said while enrolling students it was near impossible to get a coherent list of forms that would need to be submitted to enroll their kids. There was no clean list of items and no obvious tracking mechanism. Many left in frustration. Then if you enrolled, you faced an inability to log in and even when you could log on students were not rostered for the right classes or curriculum. All in it was a disaster and because it's online you can easily switch, particularly before school starts. These issues have been fixed for the most part.

The next critical issue is the interface that parents use to monitor their kids progress and assignment completion. It's currently buggy and not intuitive where to find items. They will launch a new system in January 2026. The bet is that parents who have not left thus far are predisposed to want to stay. If they provide a new clean product the early school issues will be a distant memory, they will get comfortable with the new system and then switching would involve new risks and a new system.

Can they fix it when they just botched the first round? It seems as if they decided last minute to do this switchover as one expert who worked there as late as 2024 said he had never even heard they were switching so he surmised it was an late game decision. So yes, they prob got a deal or were unhappy with scalability of the last product and made an aggressive decision. Now it's do or die with everyone laser focused on this. Yes, they may not get it perfect but my bet is they get it mostly there. It's cost them \$4B in market cap so we can be assured they care and are putting all available resources to this.

Just as a reminder this business is still growing EBIT and enrollments 5% in a year with a major issue. Management claims over and over demand is strong and Pearson their biggest competitor is growing nicely. For better or worse, conversations with families or a survey of Redditt will indicate the story is exactly what they say.

I'll also note they launched their first buyback in history and it's a massive one as well at near 20% of outstanding shares. If you look at the stock since the announcement it falls the first half hour and last half hour of the day nearly every day when buybacks stop to stay in a safe harbor. IR will also tell you they know it would look ridiculous to implement it and not do something substantial. So management seems to be incredibly confident based on what they know about consumer behavior and vendor progress that this won't be an issue.

After that first fall, last week an article from Capital Forum dropped that one LRN school in Texas is closing and another one has to submit a turnaround plan. The school closing announcement was made mid October (prior to the fall) and here is the press release.

<https://tops.k12.com/wp-content/uploads/sites/3/2025/10/tops-elementary-campus-closure-parent-letter.pdf>

This school has 600 students (out of 250,000) and you can see the first school listed as a new alternative is another LRN school. IR will communicate they expect most kids to go to their other online school (which has a much higher rating by Texas.) Think about it from the parent's perspective. If you like the curriculum, you can switch to another school and your and kid's systems will all be the same versus learning something new.

They also mentioned another school that has to submit a turnaround plan. This is not new news either and refers to the Lonestar Online Academy. This is a larger school representing 2% of the LRN base. They have two years left to make a plan at which point they can either be closed or have a new board. Again, if needed the company has another school in Texas and if needed they will transfer most of the students over there but this is an issue two years out and the company will do their best to improve student scores.

One other story floating around from earlier in the year is a New Mexico lawsuit. Stride ran a school for the Gallup-McKinney school district in New Mexico. The superintendent of that district applied to work for Stride in late 2024. By Feb 2025, they rejected his application. The school district then dropped Stride as the operator in March 2025. Stride in turn accused the superintendent of the school of ethics violations and because it's against the ethical code to apply to work for a direct and substantial vendor for the district and he misrepresented disclosures to the public. In response by the summer, the district sued Stride for multiple violations of their contract including not maintaining appropriate staffing levels, appropriate teacher certifications and for allowing students to stay on the rolls beyond them dropping out (so called "ghost students"). Stride's responses seem reasonable including the district delayed their hirings by slow walking approvals and it had been practice to allow the school year to finish for teachers to get certifications. You can find the complaint and response but this seems like an unethical superintendent who used his power to shift a contract to get a new job and then sued to cover himself. Stride shifted all those students to another school they had in New Mexico so it will no effect on performance. The headline has been repeated by other newspapers recently as well once the stock collapsed.

I'll note the comparisons to for profit college education seems off to me. First, LRN has nearly 100 schools and so even if one school has issues with performance you can shift students to another with little effect. That diversification allows for the chance of drawing one state regulator's ire (either by teacher's union influence or any other motive that could be genuine or cynical) with no effect outside that state. I'll add that these schools mostly operate in red states so that risk is much lower. Second, the payor is not the student but the district so they are not leaving students with debt. Third, the product is actually reasonable. Maybe not for every kid but the content is good and if a student can maintain discipline to stay on the computer, I can make the case it's better than some random teacher at a bricks and mortar school.

You don't have to work hard to see upside here. If they fix the LMS issue in January 2026, you'll see a pathway to accelerate enrollment and a clear path to the June end 2027 EBIT of \$600mm. Assuming they complete the buyback at 70ish, you'll have 41.3mm shares assuming full conversion of their convert. Cash will be around 500mm (cash is at the low as school starts and then schools pay down through the year plus 300mm net cash earned) and 7 months from today you have \$184 stock at 12x EBIT (each turn worth around \$15) or over \$210 at their multiple from two weeks ago.

On the downside, we trade around 4.5x EBIT today. You'd have to see them not fix the issue with the LMS and see significant attrition even though we know anyone can leave at anytime and they have said withdrawal rates have been heading down. If you give me 8x EBIT off the new base level post any churn, you'd need to see EBIT fall to \$285mm ish which would require prob a 70,000k student loss or 28% loss of students to say OK this price is fair. 1,000 students at \$10k/student and 40% margin so \$4mm/1000.

All in this setup seems great with a catalyst coming, a buyback in place and material upside to the stock with very little downside.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Buyback in motion cleans up the growth investor dump

Any progress on fixing Learning Managent System or clear evidence it is fixed

Messages

Subject Came around
Entry 11/18/2025 09:45 AM
Member zipper

Thx to you, repetek, bigvic and all the offline people who fought w/ me on this name. I've been biased short (either in portfolio or morally/mentally short) for so many years, but I have to admit it's a real business with real student need, a duopoly-like structure, leading share and significant TAM. You're right that outsourcing tech is probably a good thing for them once they settle these issues, and their new providers are real leaders in what they do. LRN is not a tech shop and shouldn't be. OTOH, Margins will have to compress due to tech catchup, the IT fixes probably will take a while to show in enrollment and they'll never shake the controversy, possible fraud and lawsuits given the politics of what they do.

The fact that they've even had this completely avoidable IT blow-up highlights a longstanding cultural problem at the company in prioritizing margins over product, which I hope can be addressed after this harsh lesson. I hate the culture and the lack of product vision (making them vulnerable to disruption one day), but end of day they are good at what they do and there will be continuing growth in virtual K-12 education.

PS: Kind of amazing in retrospect how volatile this stock is and hated or loved it can get, considering the kind of business it is and relatively predictable nature of what it and its peer does.

Subject Re: Came around
Entry 11/18/2025 03:42 PM
Member Houdini

Thanks for the idea.

What data is out there/has the company provided on the educational outcomes?

I get there are a lot of moving parts around the stock at the moment, but just fundamentally on the student outcome side, are they providing good education? How does it compare versus alternatives?

Thank you.

Subject Re: Re: Came around
Entry 11/19/2025 08:33 AM
Member zipper

Other guys can provide more detail, but at a high level: Education outcomes at pure virtual academies are generally not good. You can scrape lots of materials online from state regulators on this. That's why it is controversial, educators like to poo poo it, and it sometimes turn into a political lightning rod. But outcomes alone isn't totally fair because they do serve a population that suffers from adverse selection - their students tilt away from academic outperformers and lean toward those that have trouble learning, have difficult personal circumstances or for whom school is not a career priority. Ultimately, it is probably the right solution for that student population who would otherwise have even worse outcomes.

The alternative is in-person schooling or other virtual academies, which all generally draw from the same state-level funding pool, or home schooling.

Subject Re: Re: Re: Came around
Entry 11/19/2025 10:24 AM
Member scott265

It's hard to find good data but LRN provides very little which leads me to the conclusion there is nothing they want to trumpet.

I agree with zipper that it is also hard to get a real read. The students they are getting are adversely selected. For instance, the Texas Online school that is closed if you look at every school in the district they all get grades that, if not bricks and mortar, the Texas regulator would tell them to close as well.

I am sure kids who perform the worst with online (the unsupported and unengaged) would be hard to get to school consistently as well. And how do you measure the ones who can utilize career and additional classes to improve results.

I do hold out hope that AI and improvements in consistent wifi/mobile internet (particularly for rural areas) will continue to reduce the issues with online virtual. My guess is any AI type teaching methods will heavily tilt towards the online schooling versus teacher union backed traditional schools. So one more AI play to add to the books!

Subject Re: Re: Re: Re: Came around
Entry 11/19/2025 11:49 AM
Member Houdini

Thanks to all for the color-- that makes sense.

It would be easier for me to get excited about this idea if I felt they were driving really positive educational outcomes.

I have done a lot of research on Alpha School, which has extremely innovative AI-based learning with tremendous early outcomes. Now, that is a totally different proposition vs LRN (Alpha School is a very expensive private school). However, the premise of Alpha School is that with AI-based learning apps, you don't need an A+ teacher for kids to learn the key subjects at an accelerated rate.

That principle should apply to something like LRN. I would be very curious to get the LRN management team's take on Alpha School/AI-based learning and whether they are trying to copy any of those principles for their courses/teaching. Obviously, would be much easier to hop aboard the LRN train if I felt they were delivering really transformational educational outcomes and on the cutting edge of e-learning tech.

Subject	Re: Re: Re: Re: Re: Came around
Entry	11/19/2025 04:45 PM
Member	scott265

They are obviously aware of Alpha School and think they could incorporate many of the AI based methods.

I think if it were delivering ridiculous outcomes versus servicing a customer desire and need, this would be a 30-40x EBIT market darling versus 4.5x ebit. My attitude is the student outcome discussion happens at 10x EBIT and not 4.5x.

Nice thing is they have the platform and student base and are ready to tweak, supplement and replace current teaching methods with whatever works. Unlike 99% of schooling with teacher unions, infrastructure and a huge incentive from nearly all private and public schools to keep the status quo, LRN has every incentive in the world to get good outcomes in a cost effective way.

Subject	Re: Re: Re: Re: Re: Came around
Entry	11/19/2025 08:56 PM
Member	DLDT

Couple items I struggle with as I did some work here. I still think it's very interesting at these levels and am working to underwrite my concerns below.

- 1) Are we at peak home school sentiment which could revert? Covid, vaccine requirements, various things parents worry about their kids learning at school? If so, the pie will potentially shrink in the future as competition is increasing. If school choice increases, maybe this option becomes less attractive.
- 2) It seems like they messed up the user experience, but wouldn't they have had to test this system prior to implementation? They are not good at explaining what happened and seem to abdicate responsibility for the issues. It is strange.
- 3) AI seems like a real concern over the next couple of years.
- 4) Money to schools could be reverting a bit which may hurt their revenue/student.
- 5) To me, a company like this would not purposefully lower/pause enrollments. I worry there is something else happening. Elevated churn has stabilized at this higher level. They haven't lost a school yet, but I'd imagine schools have to take a long time before changing providers or underwriting a new provider, so longer term if churn is elevated and schools roll off, the EBIT number could be incorrect (too high).
- 6) no insiders are buying shares - hoping to chat with management at some point and ask why.
- 7) I think the ghost students in the short report is not as damning as it is portrayed to be, but I do believe that ghost students are probably material to the business. If this changes, it could be an issue.

All that said, seems interesting here. Market sort of implying 0 growth forever at these levels.

Subject	Re: Re: Re: Re: Re: Came around
Entry	11/20/2025 07:52 AM
Member	scott265

- 1) I can't speak to exact sentiment but the numbers continue to grow in choice states. COVID seems like ancient history at this point. People were worried about exactly that in 2023 for LRN and it has sailed right through. Connections by Pearson is growing and LRN is increasing students. I'll also mention that the biggest advertisement for virtual schooling is the more families that choose to use it. It's virtually impossible to advertise to a general population for it. Most products that are niche like this need a growing group of people to see it as a legit choice and that has only increased.
- 2) I agree that it is shocking they didn't test it well enough. Based on calls, my best guess is the old system would not have handled the growth they wanted. One internal person said they were running two separate systems on the old LMS b/c it could not handle the growth. Canvas claimed they could handle their volume and needs and maybe cut them a deal at the last minute. Obviously they made a mistake. I don't think they abdicate it at all. They will say it's our screw up and we are laser focused on fixing it.
- 3) My view is that AI will be a benefit to a virtual model more so than traditional bricks and mortar schools. Of course AI can shake up education but I'd rather be a pure tech enabled one without the vested teachers union fighting it.
- 4) Funding levels have slight shifts year to year but that seems more like a 18% vs 15% growth discussion. Not 4.5x EBIT.
- 5) At first, I had same thought. Why would they "pause" enrollments if they could handle it. The work makes it seem like most of the 10-15k "lost" students were not pausing but ppl who got to final enrollment stages or even started school and gave up. They also will tell you their teachers were crazy overworked handling all the administrative issues and in some cases these are union teachers in California who complained about their workload. I think they made a business decision that they knew they'd lose teachers and/or students if they pushed more. Also when in crisis, they may have said let's not overload system even more and possibly have more churn. Any "pause" was either forced or in their interests for anything more than the short term.
- 6) If they are indeed doing the buyback as I claimed, I don't think you'd see insider buying at same time. Not sure of rules, but that would seem to be a no go at most companies.
- 7) It exists but I've never seen anything that implies it's anything more than a marginal choice they could be making to slow roll the reporting. End of day, it's not easy to know when to pull someone and rational ethical people can debate it.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 08:55 AM
Member DLDT
 Thanks for the response

btw, On #6, IR said they are not restricted.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 11:40 AM
Member scott265

Ok thanks. I agree it's surprising. Of course, I've never seen a company with less inside buys in nearly twenty years of being public. Literally one director buy in 2013 for 3,750 shares in 2013 (and Ron Packard for a token 100 shares on IPO in 2007).

It's almost like their counsel would not even know how to file a buy side form 4...

Subject Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 11:51 AM
Member DLDT

We generate a significant portion of our revenues from the sale of curriculum, administration support and technology services to virtual and blended public schools. The amount of revenue generated from these contracts is impacted largely by the number of enrollments, the mix of enrollments across grades and states, state or district per student funding levels and attendance requirement, among other items. **The average duration of the agreements for our school-as-a-service offering is greater than five years, and most provide for automatic renewals absent a customer notification within a negotiated time frame.**

Seems like it will be difficult to know what revenue is or isn't next year given this dynamic.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 12:07 PM
Member scott265

I think I'm missing your point. They contract to operate the schools and districts for greater than five years but districts have an ability to cancel with certain advance warning.

They have students at the schools. There is a certain level of persistence and a level of new enrollees. Of course if persistence or demand changes then revenue would change for better or worse.

What about your copied passage changes that?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 12:59 PM
Member DLDT

Sorry it was unclear.

The point is that depending on how bad or not this implementation is/was, we may not hear about school (not student) churn essentially until next yr enrollment periods and Stride is likely in some form of penalty box. Their competition should obviously attack this as contracts come up. Schools probably can't roll off the service/contract mid-year or it would be extremely difficult to do so, but maybe next year they will. They haven't had any indications yet, and it seems the worst is over, so this may be a non-issue. Lots of times things like this can forgotten depending on how quickly the situation is remedied.

I am going to do some expert calls.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 01:05 PM
Member scott265

My sense is the risk is much more at the student level than the school level. It's possible but when the districts know the unhappy customers can leave anytime it takes a lot of the pressure off them to force a time consuming and headache inducing switch for them.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 01:13 PM
Member zipper

My knowledge may be dated or wrong, but are the virtual academies not "captive" and/or wholly dependent on the program provider for the most part? Would love to hear the output of those expert calls to understand if that is incorrect. It used to be that in a given state, a student has a choice of many different virtual schools (unbounded by where you live) and the main risk (and what happened this period) is a lot of students enroll in other schools instead of your school (or go in person to their local school).

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Came around
Entry 11/20/2025 09:44 PM
Member DLDT

I believe the stock probably works from here given what is priced, but after my couple checks, I think that it's difficult to step in front of next year's enrollment cycle.

- It is easier to switch as the contracts come up for renegotiation and not when the school year is already in session.
- If the average contract length is ~5 years, you may have a lot of new Covid customers coming up for bid and you also have schools which are losing funding.
- I think the problems here, while they are partially resolved, may hinder enrollment next year given how bad the problems were (some kids literally just not being able to log in for a month) among my other concerns.

While I chose to go pencils down, I have done way less work than others -- I wish everyone the best of luck.

Subject Few Thoughts
Entry 11/23/2025 08:27 AM
Member bigvic

I've appreciated scott's writeup and Q&A here. Clearly, I'm biased and been very wrong since my writeup but would offer a few thoughts after separate 1x1 calls w/LRN's CEO, CFO, IR, two former employees (including current parent w/LRN students), largest public comp, and largest private comp (led by LRN's former founder):

- Context is important. Unlike when I pitched LRN at 18x FCF and 2.5x higher share price, LRN now trades for 7x FCF (after taxes). LRN guided to 5% growth, but the market is pricing in the company losing a significant amount of students quickly, never growing again thereafter, and then pissing away its substantial FCF each yr.

- Alpha School charges \$50k/yr, while LRN is free and another option for public school students. LRN is not Alpha School, but does fill a void for another parent/student demographic: those who aren't succeeding in public schools but can't afford private schools. If LRN wasn't satisfying these parents/students, then I highly doubt you'd continue to see such rapid growth including during the school year. LRN is also continuing to incorporate more AI into all facets of its business and virtual school platform.

- Despite the IT issues, LRN grew enrollment 11% y/y in 1Q26 ending September 2025 after growing 18% y/y in 1Q25. COVID started 5.5 years ago, so I don't know how you could still argue this is just a COVID bump.

- On the 1Q26 EC, mgmt said it hoped to rollout remaining IT fixes by FY26 so 6/30/26. Mgmt seems to be ahead of schedule and trying to rollout Canvas improved platform plus an internal web-based overlay in January 2026.

- The risk is this rollout is delayed or doesn't meet expectations. In that scenario, you likely will see higher withdrawal rates. However, we were told that demand (new applications) remains ~50% above 2-3 yrs ago so LRN can continue to backfill withdrawals.

- Even if you assume new rollout delayed/inadequate and demand falls, so therefore enrollment falls and LRN forced to cut FY26 guide. Stock would surely go down that day/week/maybe month, but the enrollment dropoff (and therefore profit decline) would have to be significant for LRN to still not be cheap at 7x FCF.

- There is a scenario where the rollout is successful and then LRN can turn on the spigot to accept more applications. Growth would reaccelerate and multiple should rapidly expand.

- I'd like to see insider purchases as well, but the \$500mm buyback far more important. LRN's CEO did just see his \$100mm+ investment fall to \$50mm and believe remains largest individual shareholder, so he's felt plenty of pain and very incentivized to get the stock higher.

Subject
Entry
Member

Re: Few Thoughts
01/08/2026 01:16 PM
CosmosY

Scott265 - thanks for the interesting idea; bigvic, thanks for the info.

I think given LRN's current rock-bottom valuation, it is clear that the market's discount is not driven by growth concerns, but rather by tail risks—specifically, management fraud and regulatory exposure.

The allegations brought by Gallup-McKinley County Schools against LRN primarily focus on two areas:

1. Using "ghost students" to fabricate registration numbers.
2. Excessive teacher workloads (one teacher managing over 200 students) and the widespread use of uncertified instructors.

The "ghost student" allegation was previously highlighted in the Fuzzy Panda report. According to the report and legal filings, these students fall into two categories, collectively accounting for an estimated 25%–40% of total enrollment:

- Invisible Ghosts (~5–10%): Students who do not exist or have left but remain un-enrolled in the system.
- Truant Ghosts (~20–30%): Students who are enrolled in name only but rarely log in, never take exams, and never submit coursework.

In my view, if the "Invisible Ghosts" are proven to exist, it would deal a devastating blow to the company. Other states would likely launch their own investigations, with the worst-case scenario being massive fines and the revocation of charters across multiple jurisdictions. Furthermore, the risk of "Truant Ghosts" being exposed is rising. For instance, Texas SB 569, passed in 2025 and implemented this academic year, shifted revenue recognition from Full-Time Equivalent (FTE) to Average Daily Attendance (ADA). This recording method effectively eliminates the possibility of monetizing students who do not actively participate.

I also have a troubling possible explanation for the bug crisis: If LRN truly has tens of thousands of persistently offline "ghost students," they will eventually be caught by government audits. A direct admission of data fraud would be catastrophic. However, by staging a "catastrophic system migration", LRN could claim these students were "forced to withdraw due to technical login issues," allowing the company to scrub these fake heads from the rosters under the guise of an IT failure. This possibility cannot be ignored, as a blow-up of this magnitude in IT should, under normal circumstances, have been completely avoidable.

Additionally, LRN faces several policy risks. Beyond Texas SB 569, where the ADA model could significantly compress margins, will other states follow suit? Other threats include Ohio possibly implementing stricter funding caps per individual student.

Finally, LRN will likely suffer from a persistent "Management Integrity Discount." History shows that management tends to exploit "aggressive accounting" and "legal gray areas" to prop up financial performance. Notable precedents include the \$168 million settlement with California in 2016 and the 2012 Florida teacher certification investigation.

I would appreciate the community's perspective on the following:

1. Do "ghost students" actually exist, or how should we price this risk?
2. Given the chronic political and management integrity discounts LRN faces, what is a justifiable valuation level for the stock?

Thanks!

Subject
Entry
Member

Re: Re: Few Thoughts
01/08/2026 04:48 PM
scott265

I'll let the community chime in to your questions but just a couple points of clarification.

1. Your description of "ghost" students sizing seems misleading to me. Yes, fuzzy panda, a notorious hype short seller, cited those exact numbers as you say but with literally nothing but the following sources:

Former principals, teachers, and Stride executives estimated that 20%-30% of kids were truant "ghost kids." (no other quotes but that with no further citations...just keep repeating a number with no primary source)

Executives told us that they believed this group of students "should never have been enrolled in the first place" and estimated that "Ghost Students" inflated enrollment numbers by "5-10%." (same as above with following citation:

- 5-10% of students are "Invisible Ghosts"—Former Executives told us that calling this group actual students is "complete nonsense."

That's it...so I think you made it seem like that it is in the lawsuit or has real citations when it does not.

Fuzzy report mostly focused on LRN being a Covid beneficiary due to govt subsidies. I do think time has shown that part of the thesis to be wrong.

2. As for Gallup-Mckinney, the school had 3,000 students and lawsuit says: Defendant Stride retained nonexistent students on its rolls to exploit the School District of public monies for educating ghost students. Twenty one students withdrew from Defendant Stride's program long before being included in a withdrawal report that Stride submitted to the School District

I could go into it again but the fact pattern of the lawsuit (the superintendent of the school district worked at Stride, left to be Super, then tried to get a job with Stride and did not get it and then filed suit shortly thereafter) makes me think the whole thing is a bit suspect.

3. I can tell you the problem with Canvas is real and damaging. All you have to do is search Redditt or Facebook to see what is fortunately or unfortunately a large group of disgruntled parents. Seems crazy to me to go that route as subterfuge but I can't tell you with 100% certainty you are wrong.

Subject	Re: Re: Re: Few Thoughts
Entry	01/08/2026 11:17 PM
Member	acm2025

The massive drop was after the company guided. The lawsuit had been public for a bit.

Your IT theory just feels like 4D chess. Also the data in question would have likely been already preserved due to the litigation.

Subject	Update
Entry	01/09/2026 06:50 AM
Member	scott265

Just to challenge the conspiracy "created" crisis theory a bit more.

Based on social media the company seems to be running beta tests at the Arizona and Iowa virtual academy. FWIW, a company rep on social media said it's going well and they will move other schools to beta in coming days/weeks and seems like parents/students are being told full roll out by the end of January.

No other obvious shoe fell in social media community (i.e. new issues..just continued lingering canvas/LMS sucks type complaints) since the write up but obviously impossible for me to tell you what happened with potentially other student drops during the quarter.

If we get quarterly results late Jan of a steady ship with full roll out launching and good reviews online, I think we'd get out of this stock price valuation rut.

Subject	Re: Update
Entry	01/09/2026 11:15 AM
Member	Bill

What type of beta tests are they running in their Arizona and Iowa virtual academy? For what product?

Subject	Re: Re: Update
Entry	01/09/2026 01:31 PM
Member	scott265

Beta tests on fixing the issues with the interface/Learning Management System. Issues described in the write up.

Subject	Re: Re: Few Thoughts
Entry	01/13/2026 09:46 AM
Member	bigvic

To add to others responses:

1. Ghost students highly unlikely given constant audits by each school district so would have to fool many ppl. Even New Mexico, who seemed to try to piggyback off Fuzzy's short report, only cited an immaterial amount/%.
2. Fabricating IT issues seems next to impossible given comments online and Tegus calls w/parents & former execs. To be clear, the "blow-up of this magnitude" is only a fair comment b/c of the blowup (and I believe massive overreaction) in the share price. LRN still guided to 5% profit growth in FY26.
3. TX SB 569 was passed/enacted in May'25 so should've already seen impact when reported 4Q25 and guided to 20% profit growth (pre-IT issues).
4. OH Republicans have complained and therefore funding/student didn't rise as much as initially planned, but I don't see any news of caps coming down.
5. Nearly entire executive team joined after 2017 (and most after 2020), so issues you cited in 2012 and 2016 don't seem relevant.

Subject Thoughts on the lawsuits
Entry 01/27/2026 02:52 PM
Member CosmosY

Realistically, both lawsuits (New Mexico & class action) are unlikely to have a material impact on Stride, because the vast majority of similar cases end in out-of-court settlements. Settlements allow companies to "pay for peace" without admitting wrongdoing, and courts typically do not pursue further evidence collection afterward.

Stride has precedent here. Under its previous CEO, the company reached an out-of-court settlement in 2016 over a series of allegations (including ghost students). The nominal settlement amount was \$160 million, but the actual cash paid was only \$8.5 million; the remainder consisted of forgiving schools' "accounts receivable." (Stride had extended credit to schools to cover budget deficits, and these receivables were already difficult to collect. This also reflected Stride's control over partner schools.)

Moreover, the 2016 California case involved 14 schools over an 11-year period. The current New Mexico case involves only one district and about 3,000 students—nowhere near the same scale. The expected settlement for the New Mexico case is therefore likely to be in the low tens of millions.

As for the securities class action, more than 90% of such cases in the U.S. also end in settlements. Settlement amounts typically represent 3%–10% of the plaintiffs' claimed losses, implying tens of millions at most. Even if it reaches settlement, Stride will likely not bear the cost because it carries Directors & Officers liability insurance. While the coverage limit has not been disclosed, typical policies range from \$20 million to \$70 million, which should be sufficient to cover both settlements.

Subject 2q earnings
Entry 01/27/2026 06:31 PM
Member scott265

This has gone about as well as I possibly could have hoped.

Issues seem fixed. Demand is strong. Pushed guidance up a bit. In the process also established that their customers are incredibly loyal even in the face of the product not being perfect.

At \$90 in after hours I have it trading now 7x EBIT ended 6/30/26. Enrollments growing high single digits again will translate to 20% bottom line growth. They say they are not pushing growth this year and are turning kids away in order to be prudent. Arguably business now seems better than it was as (1) new LMS which can scale and has gone through the ringer (2) a customer base that stuck with you despite all the bugs in the software. (3) continued strong demand.

At 12x EBIT off a FYE 2027 number of \$600mm, you get to the \$170s. at 14x, you get to near \$200. I think we get to 8x in pretty short order (maybe tomorrow..maybe a week) which is around \$100. From there I guess it's just moving towards market confidence in \$600mm EBIT and however long it takes to get back to a 12x + EBIT off of it.

Subject Re: 2q earnings
Entry 01/27/2026 07:24 PM
Member acm2025

I hope you win the 5k. This is was a great idea that has played out exactly like you predicted. Thanks! No reason that can't get back to 12x very quickly (it's already at \$99). At what point will you take some profits?

Subject Re: Re: 2q earnings
Entry 01/27/2026 08:03 PM
Member scott265

You are probably right about 12x. Just like growth to value shift is ugly and always shocking in the depths it will reach, I imagine the value to growth shift could shock to upside so my intuition is to hold longer that I ordinarily would.

12x this year is \$145 and \$25 more if you go off June 2027 leaves a lot of upside. And maybe the growth guys and shorts surprise us with their speed back to the name.

Subject Re: Re: Re: 2q earnings
Entry 01/27/2026 08:46 PM
Member acm2025

lol, just saw they only used 20% of their buyback so far. This could rip for a bit.

Subject Re: Re: Re: Re: 2q earnings
Entry 01/28/2026 08:26 AM
Member scott265

Maybe on the buyback but I stay away from thinking about it in technical terms. Oddly this \$90 is the same price stock traded after hours when they first dropped the LMS issues three months and it traded real stock there. In retrospect this was a growth to value airpocket that fed on itself.

Here's where I am at with stock at \$90 and a night to think more:

8x \$500mm in EBIT plus \$925 in cash (cash on b/s plus paydown to year end) = \$105

14x \$600mm (assuming as they say demand is strong and kicks back to HSD and we get 20% bottom line) plus \$1325 (one year out cash plus 925) = \$205

I think over the next week growth guys come back and we get to at least \$105 and then we work our way over a year to \$180 plus. These multiples still assume yes it's not the perfect business b/c of all the reasons people bring up (outcomes, ghost students, etc) but if it did not have those issue it would be a 16x-20x ebit business.

The risks now are mainly just about is demand there. If you believe that you'd be crazy to think we don't get to \$150 so I am probably of mindset to not even thinking about selling until \$120.

Subject Re: Re: Re: Re: Re: 2q earnings
Entry 01/28/2026 08:57 AM
Member hkup881

Amazing Call!!! RESPECT and thanks for flagging this...

15% of the float is short and many of these guys piled on starting in December. What do you think the shorts were playing for?? With all the fast-twitch data that they can source, how did they miss that results came in effectively inline?? Given the valuation and the cash balance, unless you thought the business had existential risk, in the low \$60s, some really bad outcomes were priced in, yet it seemed obvious that the real tail outcomes of huge customer churn were unlikely.

We spent a few hours scrolling FB and Reddit mother groups and were amazed at how emphatic the support for this business was, even though there was a whole lot of frustration on the software side. It's actually rare to see a company screw up this badly and have the customers not even flinch in their support. To paraphrase, "as soon as these guys fix their software, I'm telling all 20 of my friends to sign their kids up"

We don't have access to real-time data, and I guess we were surprised at how low the churn was, but we certainly didn't expect dramatic churn either...

Why do you think the shorts piled on, and is there something else that they're playing for??

Subject Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/28/2026 09:10 AM
Member scott265

My best guess is they thought the tech excuse was BS and and the litany of negative short story lines (ghost students, fuzzy panda short report saying Covid payments, the inevitable occasional lawsuit between them and their partners, headlines feasting on all those things repeated, Capitol Forum (a constant for profit ed bear paid service dropping old stories right in midst of the fall) were the real reason.

Subject Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/28/2026 10:05 AM
Member bigvic

Not to attack another firm but...I've found Capital Forum completely useless. Would've missed out on several great Long opportunities if was spooked by their "investigative journalism".

Subject Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 10:02 AM

Member

BlueFIN24

Anyone surprised by the lack of follow through? I don't get why this stock hasn't at least retraced half its loss from the fall and we're not well north of \$100 here.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 10:04 AM
Member Rtg123

I'm very surprised. I guess this is just a business people love to hate.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 10:22 AM
Member scott265

Well, we know where it traded in October 2025 at call it 13x EBIT so I'm not even sure it's a business people love to hate.

As someone who was saying \$100 plus over next couple weeks, I obviously am surprised as well.

If I was posing theories and responses:

1. People have changed their view since October on business prospects and appropriate multiple - seems unlikely to me
2. People don't think the business will go back to 10-15% enrollment growth for June end 2027 - I'm sure some of this skepticism is there but still feels like too large a discount
3. Some new capitol observer type report is out - possible but have not seen it
4. This is all still noise and people wanted to play the 'fix the tech trade' only and thus just want out now. - still seems to have legs but every day this will seem less likely.

I'm not sure and the move since yesterday 3:30 is obviously notable but also could quickly go the other way as it's not some crazy level of volume this AM.

Anybody have other theories?

Subject One more theory
Entry 01/29/2026 10:26 AM
Member scott265

One more theory is what I kind of always thought....growth to value transition is a disaster and quick. Going from value back to growth guys takes time.

Maybe not enough has been done to convince the growth story guys to come back. As I said it's not some crazy volume so this is more about a lack of new buyers.

If this is best theory obviously this is insanely asymmetric.

Maybe we get their buyback kicking back in to help out.

Subject Re: One more theory
Entry 01/29/2026 10:31 AM
Member Rtg123

Only other things ive heard are 1) knocking management for barely using their buyback last quarter and 2) mgmt trying to tell investors not to get overly excited on the earnings call. Other than that, I think you pointed out everything

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 10:32 AM
Member CosmosY

I don't see why this isn't a better opportunity now. The issues are solved so the business has gained more intrinsic value than the 10% rise in stock price. Maybe just have to wait for the long-only guys to come in after the quant pods done taking profits, I'm taking this guess since Stride has 98% institutional ownership.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 10:39 AM
Member acm2025

Could it be getting lumped in with every other software company that is getting killed right now?

Could also imagine some folks who bought in at 65 taking some easy profit. But I see no better place to have my money right now, except maybe BKTl.

I hate the idea of kids not going to brick and mortar school. I think the online-i-fication of everything is just going to kill us as a society. But there is clearly demand here and I just don't see this trend reversing anytime soon.

I would also expect this stock to be somewhat recession resilient, given that a lot of its funding is just a per student formula. Obviously those formulas will come under pressure in a recession but it will take time and be more resilient than some stuff.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 11:44 AM
Member starfox02
 ACM - "I see no better place to have my money right now, except maybe BKTl."

That gets my attention (big fan of John Suzuki, very familiar with the story). I've been following LRN from a distance but since I'm new to the story, didn't really want to wade into controversy until there were some positive data points, which clearly it seems like the most recent report provided. Would you mind expounding on your BKTl reference a bit, in particular how you think about management quality and integrity at LRN?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 01:16 PM
Member BlueFIN24

Could it be that the earnings quality was bad? I am long and think there is a bigger longer term thesis here but there were a lot of one off items in the beat that won't be repeated...

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 01:16 PM
Member acm2025

I will let Scott and others who are much closer to the situation share their thoughts on management quality and integrity. I have appreciated how they handled this mess though. They owned it, took a huge hit by (effectively) pausing enrollment, fixed the problem, gave clear updated guidance, and then hit the guidance. Oh and they quickly put in place a buyback that was an excellent use of capital.

I do feel comfortable as a litigator who does a lot of fraud cases saying I've read the NM lawsuit and it doesn't do a lot for me. It looks like reporting and contractual violations dressed up as fraud for maximum effect.

My BKTl reference is I think it is an amazing opportunity for all the reasons you know far better than I do. And again, I think it is probably somewhat recession resilient, which I am personally interested in.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 01:38 PM
Member scott265

IMO, I don't think anyone is really focusing on anything but annual guidance for a business like this. The earnings "beat" was not part of the excitement as it was more about declining withdrawal rates, fixing tech, implying enrollments will go back to 10% plus for next year and pushing annual guidance up slightly.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 01/29/2026 01:42 PM
Member scott265

I think management is capable and aggressive (for better or worse.)

Every channel check on James implies he wants to maximize profits and sometimes to a fault to those more educationally/socially driven.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 02/01/2026 09:19 AM
Member bigvic

There was some noise about a New Mexico bill that as of today seems dead.

Gallup-McKinney district which is the one that had the fight with LRN lost all their students to two other districts (still being educated by LRN). In the process b/c NM funds based on last year's enrolled students so Gallup-McKinney which would have had a state payment for those students with no associated payment to LRN decided to use some of the money rather than know someone would come knocking for it (since the new districts would need to still pay LRN). It was about \$40mm and a legislator used it to hype sentiment against online charters and include some things which would hurt LRN (like lower per student funding for rural students).

Anyway the bill in committee got some noise and the lobbyists packed the chairs and over the weekend they changed the bill to have Gallup get less funding next year and the new districts get whatever Gallup lost (i.e. the obvious way it should work) and removed all the other parts of the bill as far as I can tell.

Subject Regulatory Risk
Entry 02/10/2026 11:22 AM
Member scott265

I want to use yesterday's example of why I think the regulatory risk is so much different for LRN then the generic "well it's for profit ed" comment.

As i said yesterday, LRN lost a contract with Gallup-McKinney school district (you can go back to write-up to see why), LRN takes all the students to their other schools. New Mexico formula still pays Gallup to then pay LRN because it's based on prior year enrollment. Gallup has legal right to money as law is written. New districts don't have the money to pay LRN.

NM senate passes through committee easily to say "OK Gallup...you can't keep that". The house which has a member who represents the much smaller Gallup area says "well we can use the money to fix our schools" so let's spread the pain. Another member in Albuquerque says we don't want to share the pain and look at Stride. This outsider taking this many dollars from New Mexico so let's do other punitive things to find the money like cutting payments to online schools (by lowering rural student pay rates for all charter schools)

Here's where this isn't for profit college ed. LRN and lobbyists say OK...let's tell our parents what's going on and that we can't teach their kids if we can't get paid. And 300 of them show up at the New Mexico committee floor to make public comment. That's not UofPhoenix where there was legislation forever to kill loans and kill schools and no one cares. Here it's parents and it's their kids school. You can say well it's just online and they can shift but it's not how they see it. They have a set of teachers and administrators and kids in class that their kid has digital interaction. They have comfort with the systems. One consistent thing pretty much everywhere is that if a school district tries to shift kid's school in any way...parents show up and will go nuts for the sake of consistency for their child. Like claws out nuts. So yes, it's for profit but it also has parents who treat it like one of the most important products in their life at that time and will waste a day of travel and time to fight for it. Not many businesses have that.

And you don't want to be the politician advocating to take their school away from them b/c it won't be good for you either. Once you've given them their school it's really really hard to take away.

So that happens Friday and by Monday the house member who brought the bill basically backs down and says OK no changes and Gallup pays. Some house members talk about well we have to look at this in the future. And world moves on.

Subject Re: Regulatory Risk
Entry 02/10/2026 01:07 PM
Member acm2025

I cannot base this on anything except my own upbringing but I'm telling you there is a church/religion aspect to this. A lot of these kids (and their families) absolutely know and hang out with their classmates (and their families) through church. It's not just online school. It's community school without the state being so involved in your child's life. So when you make changes it is easier for these families to organize than you might expect for "online school."

Subject Re: Re: AI Risks?
Entry 02/23/2026 09:48 AM
Member Rtg123

Really surprised how weak LRN has been since earnings. You think its related to AI risks LT? I havent heard many other bear cases.

Subject Re: Re: Re: AI Risks?
Entry 02/23/2026 12:06 PM
Member scott265

Your guess is as good as mine but I assume it's AI fear as not much else really going on.

Continue to think it benefits from AI versus the stagnant union backed bricks and mortar schools.

Subject Gallup-Mckinney withdraws lawsuit
Entry 03/02/2026 08:26 PM
Member scott265
<https://www.prnewswire.com/news-releases/gallup-mckinley-county-schools-school-board-reinstates-stride12-and-withdraws-all-complaints-filed-against-stride-inc-302701559.html>

After their lawsuit caused hundreds of headlines of ghost students and allegations of inappropriately trained teachers and poor staffing levels, they withdrew their complaints and LRN even forced them to cite every press release they were withdrawing. They already had their entire school population shifted elsewhere and they even hired LRN to tutor their students.

Seems like about a clear a win for LRN as you can get.

Subject Re: Gallup-Mckinney withdraws lawsuit
Entry 03/02/2026 11:52 PM
Member starfox02
 wow. getting a public apology and retraction seems... pretty rare in this sort of thing?

Subject Re: Re: Gallup-Mckinney withdraws lawsuit
Entry 03/03/2026 07:32 AM
Member scott265

I think the net takeaway is just that the superintendent (no longer with district) did want the job and did retaliate. While LRN may not be perfect it was not what was represented in the claim. The ghost student thing is what it is..it's hard online to know when students are still active or have possibly left unless they specifically quit. The teachers have a large number of students but in no way is LRN not attempting in good faith to follow teacher certifications.

In terms of the back and forth, LRN wanted to defend themselves b/c they never want a cancelled contract for marketing purposes (and maybe they were not sure they would be able to move all the students) so they did the public ethics allegations. The super pushed the lawyers/district to find every flaw to justify his unscrupulous behavior and filed suit. LRN moved all the students and then Gallup tried to keep the \$ (b/c of the way the NM system works with payments on prior year enrollment) and maybe they thought sticking with the suit would help say not our fault. Anyway, now they owe the money back to the state and LRN has all the students and if they can't win the suit anyway what's the point.

Not sure what extending the contract till the end of this academic year does since students are gone but maybe it's a statement LRN wanted to say to other schools they even reinstated us. Tutoring is small \$. I do think this helps save \$ on all the shareholder suits that came after enrollment issue collapse and helps stock price since the ghost student story can calm a bit.

Subject Long-term growth rate of virtual schools / margins
Entry 03/18/2026 11:35 PM
Member starfox02

1) Would love to hear how others on the board are coming up with their medium to longer term revenue growth algo. This is the part that's hardest for me (I own it, but I don't have an amazing answer to this that I'm really confident in, other than "more than enough to justify today's valuation.") Recognizing that there are states with varying penetration rates, some (NY) that would be huge but aren't currently in the SAM at all, etc. There are various forecasts out there and we can obviously look at the short-term numbers put up by Pearson and Stride but curious to hear various perspectives on how much the industry will grow, and why. Personally, on the one hand I think that we're in early days of this being accepted/adopted and there are clear benefits for certain populations; conversely, there is (for good reason) increasing anti-screen sentiment, and there are many factors (childcare, extracurriculars, socialization) that put a seemingly hard cap on the percentage of students going to "normal school" who would leave it for a virtual school. And then you sort of have to do this math for dozens of states, and think about any potential competitive issues or regulatory changes (see below).

2) Given the company's visibility as a public company and their substantial margin improvement in the last few years, does anyone worry about pressure on reimbursement rates?

Subject Re: Long-term growth rate of virtual schools / margins
Entry 03/20/2026 10:06 AM
Member bigvic

1. Would point to: 1) mature mkts like OK at 5% share and still growing yet avg virtual share across all allowable states only ~1% so significant whitespace and 2) LRN Rev (x-Adult) grew 15% CAGR FY19-25, and 3) enrollment grew ~10% 1H126 despite IT debacle.

2. I think you know this, but not healthcare so wouldn't describe as "reimbursement rate" (though that phrase was used in an TR a decade ago). Govt pays municipality \$/student and that's ~70% of B&M \$/student, which is up from < 70% a few yrs ago. I would think this keeps rising as more parents/students demand school choice/virtual. Muni then pays LRN an agreed fee and keeps the rest. LRN is the 800lb gorilla and IBM of the industry at 5x more Rev than its only national competitor. Its scale, reputation, sophisticated marketing, and lobbyists should allow it to continue to win its fair share at attractive rates. But to be clear, this is much more of an enrollment growth story than a Rev/student story and that's why Fuzzy Panda's Short report was so wrong. Hope this helps.

Subject Re: Long-term growth rate of virtual schools / margins
Entry 03/20/2026 03:32 PM
Member starfox02

2) Sorry if there's better language I should use. However, it seems like an easy target for state regulators.

For example, from earlier this month - <https://www.yahoo.com/news/articles/nc-virtual-schools-face-funding-194837870.html>

The change would affect the state's two largest virtual charters — North Carolina Virtual Academy and North Carolina Cyber Academy — which serve over 6,300 students. Both schools are holding a combined \$25.7 million in reserves, with NC Virtual Academy alone holding more than \$16 million.

These balances have prompted questions about transparency and whether public dollars are being sufficiently reinvested in students. Both schools have been designated as "continually low-performing" since they began operating a decade ago as pilot programs, though NC Virtual Academy exceeded growth expectations in 2023.

During a state board discussion this week, members questioned whether virtual schools should receive the same funding levels as traditional schools, given their lower operating costs and large fund balances. The conversation also touched on the role of for-profit management companies that provide curriculum and operations for the nonprofit academies.

"Why are we allowing our students to continue to be exposed to this inadequate form of education that is creating enormous profits or fund balances for outside entities?" Duncan asked.

NCVA is a Stride school. It doesn't seem like there's any specific near term threat but the language above certainly makes it sound like there are at least people in the legislature pushing to reduce how much money they get. There was also a comment from Senator Munoz in New Mexico (can't find it right now, saw it the other day) where he criticized the amount Stride is getting paid.

Intuitively, it seems that two big drivers of Stride's profitability are A) higher student-teacher ratios and ability to leverage teachers across districts as well as states (seems like they actually pay teachers less because they don't have to deal with in-person stuff too), and B) not having brick and mortar operating costs (a technology system is a lot cheaper to operate than a physical school building with buses, sports facilities, etc.)

Particularly if budgets come under pressure, it seems like state regulators might have a lot of leverage to push back (I know that they have lobbyists, but for-profit education is an easy punching bag, and it's not like Stride is going to walk away if they get slightly less funding, because they don't have an alternative). I also think that your response perhaps underweights the importance of revenue per student. Certain variable expenses (technology, teachers, etc) clearly scale with the number of students, at least partially. If revenue per student is reduced by 5-10%, that could have a meaningful impact on margins because there's nothing obvious to cut from. I don't think this is a terminal risk (at least at the current price), but combined with the "squeeze the onion" culture where it seems like they're already running very lean and have pulled margin levers hard, I can see scenarios where margins pull back from current levels and offset enrollment growth.

Just something I'm thinking about re: position size and what I would do if/when this trades back to a more reasonable valuation (say \$120 - \$140), but happy to be told why I'm wrong - I know you know the name a lot better than I do and I respect your research process...

Subject Re: Re: Re: Re: Re: Re: 2q earnings
Entry 03/25/2026 10:33 AM
Member hkup881

I want to return to my message #31. I had expected the shorts to bring in their exposure following the software improvements and lack of substantial student churn. Instead, shorts keep pressing and are now short 6.8m shares or 16.4% of the float. I fully get that shorts get stuff wrong all the time, but what do you think they're playing for here?? It's odd to see them keep pressing.

Thanks in advance...

Subject Re: Re: Re: Re: Re: Re: 2q earnings
Entry 03/25/2026 12:25 PM
Member scott265

No clue as I've said but if you are asking me to speculate:

They think the business is crap regardless of the tech fixes or not so they were never betting against LRN ability to fix tech issues but more that the tech issues were BS and enrollment would eventually start to shrink. To be fair to them, we have still not seen true enrollment stability or growth until we see what enrollment looks like in September. We have management saying tech fixed, demand is good and as of last quarter typical drop out rates but the big season is starting now.

I just think at this multiple they need to see a material decline in enrollment and a belief that it would continue to fall after that. While I can't tell you that people were not annoyed by this year and may leave in higher than normal numbers, I think at worst that's a one time event and we can grow from there so yeah I'm surprised shorts continue to net add and of course worth considering why. Just don't have a clear answer.

Subject Re: Re: Re: Re: Re: Re: Re: Re: 2q earnings
Entry 03/25/2026 01:48 PM
Member starfox02

Formers overwhelmingly seem to think the tech debacle is a non issue for next year's enrollments. I'm a bit more conservative but the evidence we have seems to suggest that next year will be at least on par with this year, maybe slightly slower growth but the stock is not priced for much growth at all.

Subject Re: Re: Long-term growth rate of virtual schools / margins
Entry 03/25/2026 06:51 PM
Member bigvic

Thanks. You'll always see politicians complaining, esp from the left as they support teacher unions. That article states they renewed the agreement and change from district to state Rev/student would equate to same pricing. I suspect the "reserves" are either \$s to be paid to LRN (as there is a large lag) or muni's ~30% to be used as it wants but speculating (though not a major concern either way). Rev/student didn't fall during the GFC (except 0.1% in 2010-11) and (as mentioned above) virtual/B&M has been rising as demand for virtual rises, so think low risk that Rev/student falls 5-10%. And to your point, that becomes more of a concern at much higher share price.

Subject 3q earnings
Entry 04/29/2026 08:16 AM
Member scott265

I still think this is the same story as last quarter in that earnings were in line and you got a negative in him saying the withdrawal rate ticked up marginally from last quarter offset by continued strong demand. They are still keeping windows closed on new students which I assume is either to keep a promise they made to districts or to overworked teachers to not grow students this year to fix the problems. It's now a pretty clear bet. We trade around 6x EBIT. Gross margins improve next year as they are through the LMS transition. They are seeing efficiencies in recruiting costs from AI. If you get enrollment growth of 5-10%, you prob get bottomline growth of 15% between better gross margins and general scale. If we do get the enrollment growth, we are through the LMS issues and you'll get the 10x + EBIT multiple (it could be 12-14x but that's for another day) which is \$146 at 10x with each turn worth \$12.

I need to believe they can generate call it \$380mm of Adj EBIT in FYE April 2027 to justify \$90 stock price so you could say it's pricing approx 10% enrollment decline next year assuming 50% incremental margins.

Subject Re: 3q earnings
Entry 05/01/2026 12:19 PM
Member Rtg123

Have you spoken with them about capital allocation? Fact they bought back no stock last quarter is a joke.

Subject Re: Re: 3q earnings
Entry 05/01/2026 01:08 PM
Member scott265

I have not but to be honest beyond a signaling device I don't really care that much if they do or don't buyback as it won't radically swing outcome.

Subject Re: Re: Re: 3q earnings
Entry 05/06/2026 10:11 AM
Member bigvic

Strongly disagree. It is a joke they didn't buyback stock. Given capital-light, significant FCF, huge net cash balance sheet, and materially undervalued, LRN should be a share cannibal and could create meaningful more shareholder value. It seems there are too many shareholders telling mgmt that they don't care about the buyback...pls stop. If you believe in thesis, then why not juice your returns w/buybacks.

Subject Re: Re: Re: Re: 3q earnings
Entry 05/06/2026 10:38 AM
Member scott265

I would not tell management not to buy back stock. My point was if they spend \$100mm to buyback stock at \$90, it's worth \$1.25 a share (not in earnings but share value). Do you really call that meaningful? I'm all for them buying back stock but I don't think it's the be all/end all. So yeah I don't care that much beyond that I view it as important as a signaling mechanism.

Subject Re: Re: Re: Re: Re: 3q earnings
Entry 05/06/2026 11:14 AM
Member bigvic

Think bigger and longer-term. LRN could use remaining \$400mm today then has the FCF/liquidity to repay Converts and continue to repurchase \$400mm annually. Looking 10 years out...EPS could be double what it would be w/out buybacks.

Subject Re: Re: Re: Re: Re: Re: 3q earnings
Entry 05/06/2026 12:43 PM
Member scott265

Sure if you assume they look like a company that has declared themselves to be a voracious capital return buyer of stock. They never said that was them and had no history of buying back so besides a one time stock crashes buyback announcement where they execute on 20% that was never going to be them. I get you'd want them to be different but seems unfair to critique them for not being something they never implied they were.

I guess I view it as this is a company that wants cash on the b/s b/c they service public entities and they never want to give their political haters a line of all they do is buyback stock or some other manipulation of facts to make them look like profiteers. It's dumb when politicians use the line but we know they do.

Subject Re: Re: Re: Re: Re: Re: Re: 3q earnings
Entry 05/06/2026 08:31 PM
Member bigvic

LRN announced a \$500mm buyback w/a 1yr expiration then immediately repurchased \$89mm in 4 weeks so that was a sign they might become share cannibal. They don't need \$850mm+ cash when only debt is \$420mm of Converts and generating \$400mm every year. Seems can appease all...holds lots of cash while aggressively repurchasing lots of shares. One can hope.

Subject Re: Re: Re: Re: Re: Re: Re: Re: 3q earnings
Entry 05/07/2026 12:05 PM
Member SamPR

I tend to agree that they don't need so much cash. \$850M seems crazy. Presumably the interest rate on the debt is significantly higher than what they earn on the cash too, so it seem inefficient for that reason. Can anyone shed light on why they are running their balance sheet in that way? Why do they insist on such a high cash balance? Would they consider a large acquisition? That's a big risk, I think.

I also agree that more share repurchases would be a tremendous signal here. One big risk to this stock is capital allocation and whether management / directors think like owners. Others have noticed that insiders never buy stock. The CEO does have significant holdings (~\$67M), but he also earns >\$20M in annual compensation (some in stock, and he's a seller as he vests). Arguably (if he had to choose), he's more aligned with growing an empire than creating value in the stock.

Subject Down 7?
Entry 05/08/2026 10:02 AM
Member Rtg123

Is there news today?

Subject Re: Down 7?
Entry 05/08/2026 10:19 AM
Member starfox02

Instructure / Canvas hack by ShinyHunters. Affecting many educational institutions, not just Stride, but certainly not a positive as we head into enrollment season.

Subject parent reactions to Canvas hack
Entry 05/08/2026 11:24 AM
Member starfox02

I follow a Facebook group comprised mostly of Stride parents and students (with official participation by Stride)
- <https://www.facebook.com/groups/199968267464066/>

I copied and pasted a bunch of recent comments on a thread (caveat, small sample size) into ChatGPT and it seemed to think it wasn't that big a deal (see below).

Relative to ChatGPT, I think I would be incrementally more bearish on this (as a shareholder / general bull) just because I imagine that this disruption during an already-stressful time of year (finals/testing/etc) may be a bit of the "straw that broke the camel's back" for anyone frustrated with the tech issues and weighing whether or not to return. Of course, their CAC is lowest for returning students so they may have to spend more on marketing. I think it does undeniably create the risk of softer enrollment (or at the very least higher marketing spend to achieve the same enrollment) this summer, which I don't view as a structural long-term problem for the company (memories are short, see Chipotle/Sonos), but the stock would obviously react poorly to an enrollment decline, if that were to occur for any reason.

ChatGPT review:

Based only on these comments, the read is **surprisingly resilient for K12/Instructure sentiment**, but with a meaningful "trust/transparency" scar.

NPS-style classification

Segment	Share of comments	Core attitude	Representative themes
Promoters	~45 to 55%	"We love K12, this isn't K12's fault, we're staying."	Long-tenured families defending K12, saying cyberattacks happen everywhere, comparing favorably to brick-and-mortar school risks, saying kids love the program.
Passives / concerned but not leaving	~30 to 40%	"This is disruptive and scary, but probably not a reason to leave."	Confusion over testing, Zoom, login safety, whether personal computers are affected, assignments, state-specific communication, end-of-year timing.
Detractors	~10 to 20%	"This confirms broader dissatisfaction or makes me rethink K12."	Pulling kids, seeking other homeschool options, frustration with Canvas migration, lack of transparency, "wish they stayed with Newrow," broader dissatisfaction with the year.

Implied NPS-type score: probably **+25 to +40** among this sample, with a major caveat that this is a self-selected Facebook group with heavy defender dynamics. If I normalize for group bias, I would haircut that to something closer to **+10 to +25**.

What the comments really say

The biggest positive for K12 is that many parents **separate K12 from Canvas/Instructure**. The dominant defense is: "this affected colleges, public schools, universities, not just us." That matters because the breach is not being universally interpreted as a K12-specific failure. In NPS terms, a lot of customers remain emotionally loyal to K12 even while frustrated by the outage.

The second positive is that K12 has a real promoter base. Many comments are not just neutral defense. They say things like "we love K12," "we're staying until graduation," "my daughter loves it," and "I wouldn't want him anywhere else." That is qualitatively stronger than mere resignation. The breach appears unlikely to cause mass churn by itself.

The negative is that detractors are using the breach as a **trigger event** rather than the sole reason to leave. The most damaging comments are not "Canvas was hacked, therefore I'm gone." They are closer to "we already had issues, this adds another reason," or "communication/transparency was poor," or "I'm new and this makes me question the decision." That means the breach could amplify churn among already-frustrated or first-year families.

Key issue: communication, not just cybersecurity

The biggest actionable weakness is **information vacuum**. Parents are asking basic operational questions: Is testing still happening? Should we log in? Is Zoom affected? Can Canvas compromise personal computers? Are assignments still due? Will days need to be made up?

That creates avoidable anxiety and lets misinformation spread. Several comments show parents correcting each other, but that should not be the primary support layer. The brand risk is less "K12 got hacked" and more "parents felt confused, uninformed, or unsupported during a stressful event."

My quick interpretation

This is **not a thesis-breaking customer trust event** for K12 from the evidence here. Parent sentiment looks more defensive/supportive than angry, and many explicitly blame Canvas/Instructure rather than K12. The outage may even reinforce K12 loyalty among some parents who compare it favorably to brick-and-mortar risks.

But it is a **customer experience warning shot**. The detractor pool is concentrated around transparency, Canvas dislike, enrollment uncertainty, and accumulated frustration. For churn risk, I would watch first-year families, parents already dissatisfied with attendance/assignment policies, and families near key academic deadlines. The breach alone probably does not drive broad exits, but poor communication around it could.

Subject

Re: parent reactions to Canvas hack

Entry 05/13/2026 07:50 AM
Member bigvic

IR told us on Monday that schools were all reopened. Given only 1 day and not LRN's fault, I think unlikely to have material impact on FY27 enrollment.

Subject Lone Star Online Academy (TX) closing
Entry 06/12/2026 04:34 PM
Member starfox02

Confirmed by a Stride rep on a Facebook group: *"The district has chosen not to renew the contract for Lone Star Online Academy, and the school will not be opening this fall."*

Anyone have further information on what led to this? State data had 14k students enrolled in 2025-2026 or a little under 6% of total enrollment, so somewhat meaningful if they're not able to recapture most of these students through other schools. It does seem like they are trying to get those students re-enrolled in another school.

Subject Re: Lone Star Online Academy (TX) closing
Entry 06/13/2026 08:42 AM
Member scott265

Yes, unfortunately it seems to be closing. LSOA was in a turnaround plan and on watch. Capital Forum did a story around six months ago on this. They were accepting enrollments so I'm not sure if the decision was always scheduled for this close to a new school year or it would always happen like this. It seems like it leaked to the teachers and then the market during market hours based on the move.

They will move many of the students to their other campuses but they will certainly have some leakage. I'd guess we took a 5,000 or so student hit at \$3k/student profit that's \$15mm pre-tax. Stock moved \$120mm in market value for a stock that trades 8x EBIT. I'll assume it moves more Monday AM b/c fear wins but (1) yes it's a permanent loss of some value (2) it seems like the market quickly priced in a fair hit to value (3) it was already a rumor and part of the short case

Subject Re: Re: Lone Star Online Academy (TX) closing
Entry 06/15/2026 10:58 AM
Member Rtg123

Has anyone spoken to the company about this? What caused it, potential for recapture? Stock is down quite a bit which is crazy if they can recapture over half the students.

Subject Re: Re: Re: Lone Star Online Academy (TX) closing
Entry 06/15/2026 11:23 AM
Member roojoo

Official FAQ - they won't say what caused it but Scott seems to know the history here:

[https://www.help.k12.com/s/article/An-Important-Message-About-LSOA?](https://www.help.k12.com/s/article/An-Important-Message-About-LSOA?fbclid=IwY2xjawScHJlIeHRuA2FlbQlXMQBzcnRjBmFwcF9pZA80MDk5Njl2MjMwODU2MDkAAR6Tg4tYr9SKl9BCyMAdNvCCyVu1RHwex8lRnGvp6u3KiX1t2xetpNlPisrpcQ_aem_QrrxxtqAspL7biKiR1ilUw)

[fbclid=IwY2xjawScHJlIeHRuA2FlbQlXMQBzcnRjBmFwcF9pZA80MDk5Njl2MjMwODU2MDkAAR6Tg4tYr9SKl9BCyMAdNvCCyVu1RHwex8lRnGvp6u3KiX1t2xetpNlPisrpcQ_aem_QrrxxtqAspL7biKiR1ilUw](https://www.help.k12.com/s/article/An-Important-Message-About-LSOA?fbclid=IwY2xjawScHJlIeHRuA2FlbQlXMQBzcnRjBmFwcF9pZA80MDk5Njl2MjMwODU2MDkAAR6Tg4tYr9SKl9BCyMAdNvCCyVu1RHwex8lRnGvp6u3KiX1t2xetpNlPisrpcQ_aem_QrrxxtqAspL7biKiR1ilUw)

Message from mgmt - they can recapture except that the 3 other Texas schools are 3-12 or 6-12 and not k-12, so they will lose k-2.

"We are actively working to help affected families transition to our other partners in Texas, we have 3 other public programs there as well as private options. Every year we have partners who choose not to renew their contracts, and this does not indicate that there will be further school closures at this time."

Scott, what makes you confident on the \$3k / student in profit? Couldn't contribution margins be higher than 30%?

Subject Re: Re: Re: Re: Lone Star Online Academy (TX) closing
Entry 06/15/2026 12:43 PM
Member scott265

It's not a secret what caused it. Their test results suck at the school and it was on probation as of a year ago.

Whether that's b/c they do a poor job, very young kids hard to teach online, or it's a very poor/parentally uneducated population is a debate for another day.

You also miss there are no other K-2 online schools. So they will seize some share via "scholarships" on their national plaforms for parents who want their kids in online school. My bet is they pick up a large portion of 3-8 students at other LRN schools and surprisingly high at national k-2.

I can't be sure of exact contribution margin. We know gross margins are 36% and you shut the school so you remove all the costs and it's mostly just teachers in that COGS which flex with students. I think 30% is pretty good guess.

The market has now shaved \$12 plus on 44mm shares or close to \$500mm. Seems like an overreaction since we know they will get many students back but this is the world of online ed with negative news. Shoot multiple times first and ask questions later.

Subject Re: Re: Re: Re: Re: Lone Star Online Academy (TX) closing
Entry 06/15/2026 02:18 PM
Member Rtg123

Thanks! Very helpful. Fact management seems comfortable just letting cash sit on balance sheet makes these dips hard to buy!

Subject Re: Re: Re: Re: Re: Lone Star Online Academy (TX) closing
Entry 06/15/2026 02:26 PM
Member acm2025

We should just pool our money and do a VIC-led take private at this price. (I hope they are buying back more aggressively this quarter.)

Subject Re: Re: Re: Re: Re: Lone Star Online Academy (TX) closing
Entry 06/15/2026 03:10 PM
Member xds68

I've been flipping through different reports on the other TX schools - the remainder appear to be performing better than LSOA but saw one report that TOPS got poor rating from state (although saw contradictory comments on this) - do you view any of the other contracts as notably at risk?

Subject Re: Re: Re: Re: Re: Re: Lone Star Online Academy (TX) closing
Entry 06/16/2026 09:56 AM
Member bigvic

Losing LSOA contract is a negative, but seems like massive overreaction again as investors love to shoot first and ask questions later w/LRN. LRN lost LSOA b/c rated an F for four straight years. Similarly, TOPS Elementary was rated F for four straight years so already closed (xds68, think referencing this old news). LRN largest TX school rated a B and other two schools rated a C, so seems like low risk of these closing.

When LRN lost New Mexico, it launched a new school and recaptured 75%+ of those students. In this case, LRN has plenty of capacity at its existing TX schools to recapture the LSOA students. The exception is K-1 (as 2nd will become 3rd graders) where LRN still trying to find other options.

LRN trades for < 8x LTM FCF, which still should be trough FCF then grow from here. We've been pushing LRN to aggressively repurchase shares. Hopefully, other shareholders are also sharing this view w/LRN b/c unfortunately LRN littered w/passives that will not push this (though this seems to be changing).

Subject What bad news came out today?
Entry 07/14/2026 11:05 AM
Member Rtg123

Stock down, I can't see anything on bloomberg

Subject Re: What bad news came out today?
Entry 07/14/2026 11:52 AM
Member Rtg123

*STRIDE FALLS 4% AS ANTHROPIC LAUNCHES CLAUDE FOR TEACHERS

Subject Re: Re: What bad news came out today?
Entry 07/15/2026 06:01 PM
Member starfox02

Owning LRN feels a bit like owning AER back in the day - wake up, random macro headline, stock down a bunch, business unaffected...

Anyway, there is actually some positive news meanwhile, from the Facebook group - looks like Stride managed to get a K-2 option for the LSOA students, so they should recapture more than we were discussing a month ago.

Dear Parent/Guardian for [REDACTED]

We have exciting news to share! One of our partner districts, Texarkana, has opened a new K-2 public school program through Digital Academy of Texas (DATX). We want to offer your child a seat in this program, ahead of other students.

DATX is a K12-powered public school and one of Texas's largest online public schools, offering full public school supports including state-certified teachers and full public-school programming (including special education, 504, gifted and English language learners). Learn more about DATX at <https://datx.k12.com/>.

No action is needed on your end. We have automatically enrolled [REDACTED] in this program. Your child's public-school status, special education services, and learning experience will all continue uninterrupted.

If you are **not** interested in your confirmed spot, please click [here](#) by **Wednesday, July 22** so we can offer your spot to another child. The first day of school is August 12.

Elsie Wetzel

Digital Academy of Texas, K-2 Program

Frequently Asked Questions

Is there a cost for my family?

No. DATX is a tuition-free K12-powered public school.

Will my child's experience be similar?

Yes. The curriculum and systems will be the same, and we are working to bring familiar LSOA teachers to DATX, so your child may see familiar faces. Your child will also enjoy the K12 learning experience uninterrupted. As a K-2 program, there is no in-person standardized testing requirement.

What do I need to do to confirm enrollment?

No action is needed on your end; we have automatically enrolled your student.

What if I want to decline this placement?

If this school is not the right fit for your family, please click [here](#) so we can offer your spot to another child.

What happens to my child's records?

For internal transfers, we will be transferring records to the new school after the transfer is completed in the upcoming weeks. No action is needed from the family to complete this transfer.

For students who are withdrawing from our schools and going to a different school, families can complete this [survey](#), and one of our staff will send the records.

What if my child has an IEP or receives special education services?

All IEP and special education services transfer with your child.

Is there a public-school option for my child in grades 3-5?

K12 is actively looking for more public-school opportunities in Texas for grades 3-5 with various partners. We do not yet know which grade levels may be available through additional partner(s), but we are working hard to serve as many students as possible in public opportunities this school year. We'll share more details as soon as they're finalized.

Subject
Entry
Member

Re: Re: Re: What bad news came out today?
07/16/2026 10:11 AM
scott265

Yes that was obv good news.

Just wanted to revisit this high level and get any outside thoughts as seems quite attractive again.

Very high level the bet was always about FYE end June 2027. 2026 was \$500mm EBIT and the hope was Canvas got fixed and we could jump to 10% enrollment growth and get to \$570 plus in EBIT and get a 10-12x (versus 13-15x historical) to get us \$160+/share.

Since then:

1. Canvas got mostly fixed and the key issues did not get worse. There are some lingering discontent with the new interface but hard to tell whether that is people hate change or real lingering problems. I thought we were headed to \$100 plus (and got there for a nanosecond) with the final \$20-50 kick saved for when we finally saw 2027 guidance.
2. Then we got the Canvas nationwide hack in early May and stock went back to mid 80's. While this didn't help, months later since most major colleges were hit it's hard to see this as anything more than slightly unhelpful noise. Stock recovers and hits \$100 again.
3. Then we get the closing of LSOA (Lone Star Online Academy). I'll point out that while it seems out of left field this was well documented as a problem but the sudden shut in the summer was a surprise. 15,000 students. LRN is very aggressive about solving for closed schools but Texas was unique in that they had no other K-2 program. I assumed they would aggressively try to keep the 3-8 students and figure something out for K-2 is why I said 5,000 student loss. On an interim basis, they were going to keep students in their pipeline by scholarship-ing them to an online private school in AZ and hoping for a new school to open. As pointed out here, they seem to have solved it. There will be some loss from the 15,000 due to people who made new commitments but overall there is world in which this is a sub 3,000 student issue on the 250,000 base. Stock had fallen back to low to mid 80's on this news from \$100. Got back to \$90 (before yesterday's news)
4. This week you got Claude for Anthropic. College Claude has been around for over a year. Teachers unions are notoriously defensive and slow. LRN can use AI and Claude themselves for their own district approved curriculum. This seems like trained shoot first on Claude headline and ask questions later. Drops it again to low 80's.

High level, I'm not sure much has changed as we await guidance and how recruitment went for Fall 2026. Using revenue as a guide we will do \$2.51B and \$495 in adj operating income FYE June 2026. You prob start a couple K students behind from LSOA and then the undetermined question of how many residual drops from cluster of Canvas issue that could be overwhelmed by if their recruitment/growth engine kicks in again. We also generated prob \$7 in cash since this all started. So to me this kind of all sits the same place but now with near term catalyst. After all the noise, if we get 10% growth we could get 15% bottom line and \$570mm EBIT. It sounds crazy but I feel like it's 20% chance. Obv the more realistic good base case is we get projections of some growth that they can easily hit and start to restore confidence. I'd call that they swallow canvas losses and put out \$525 plus on small net enrollment growth (maybe 3-4%?) I think from that we probably still could get a 9x right away as fear of LSOA, canvas are all behind us and that's \$125/share. If it's an 8x you get \$110-115. And then you can pick your right multiple if we get no or neg growth. To me it seems like you need the business to get really bad (like a 25% fall in bottom line to justify this price). All in at this price, it seems like in the near term it's a possible win big, a decent chance to get a 20-30% return and then a bunch of maybe don't lose much/make a little scenarios.

Subject	never a dull moment
Entry	07/30/2026 11:05 AM
Member	starfox02

Being a LRN shareholder feels a bit like adventure sports...

Would love to hear the board's thoughts (I'd love to hear the Board's, too, but I don't think they'll share)... can't argue with Rhyu's results but he's clearly a polarizing figure.

Subject	Re: never a dull moment
Entry	07/30/2026 11:42 AM
Member	acm2025

truly insane how much volatility you get here for a non-tech stock. I thought the earnings numbers were good!

This read to me like some sort of behavioral thing? So sudden, board member takes over, the one sentence about not a disagreement over the direction of the company. No statement from Rhyu, nothing thanking him for his service. Pushing out the numbers on the same day because you know if you do it today with earnings in a week people will assume the numbers are terrible when they aren't...

Subject	Re: Re: never a dull moment
Entry	07/30/2026 12:04 PM
Member	starfox02

"Pushing out the numbers on the same day because you know if you do it today with earnings in a week people will assume the numbers are terrible when they aren't..." in fairness, enrollment numbers could be terrible, this year's numbers were already essentially baked in, the worry/bear case is all about "will parents leave en masse" and the late-year canvas issues (not their fault) as well as the LSOA closure probably didn't help... this is not what *I* believe but it does seem like what the market is predisposed to believe (the stock price makes very little sense on LTM numbers; the P/E makes a lot more sense if you believe the E is about to go down a lot.) so there's still a credible bear scenario where trailing numbers are fine but forward numbers are about to fall off a cliff (and that's why they let the CEO go). I imagine the two are unrelated and/or maybe more of a case of - they were always going to fire Rhyu for the tech debacle the same way the Sonos CEO was a dead man walking after the app disaster (or maybe GO CEO after their ERP issues) - but they wanted to wait until things were fixed...

I will say that this is a weird way to handle it and it's not clear why they did the immediate permanent CEO thing rather than the usual interim, replacement, search, etc (even if he was pre-ordained to win the search process). If it was a behavioral firing, then why not do an interim CEO and do a search?

Subject Re: Re: Re: never a dull moment
Entry 07/30/2026 12:14 PM
Member scott265

Agree it's a roller coaster. Just as I was high fiving myself on my recent post I get slapped again.

We know James was polarizing and the last year has been pretty bad execution. Canvas last year and then even the updates and rollouts, lack of preparedness for the potential for Texas school closing (i.e. not having K-2 school ready even though this was obvious risk, not having emails ready to send parents in 3-8 to say you can transfer here.) I've said many times wow this just seems so sloppy and you could have done more to prep.

That is before we talk about James being polarizing. Aggressive, former employees saying he tip-toed on appropriate, etc etc.

It's possible this was always coming and this was the time. And BTW the new full CEO is a highly respected guy with education experience who may just be more palatable to the school boards and educators.

I also agree 4q numbers meaningless. This is about guidance and enrollments.

So there is a reasonable chance this is nothing and guidance is fine. Obviously odds go up that it's not b/c if things are great James may get a longer leash.

My only possible slight positive is they include these 4q numbers and the reason you do that is to say "yes we fired him but biz is fine". Obv with this business it was all about guidance so when they had that convo to include prelim or not someone must have said well if we drop a bomb next week this looks bad. They could have said we are not going to do guidance or who cares but some chance they included it to communicate this is about James and not biz.

All in odds of a home run go down and odds of a clusterf\$\$\$ go up a bit. For me mitigated a bit by inclusion of numbers and what it implies.

In general, LRN has been shoot first on day of news and maybe this will be the time that's right but I still think the risk/reward is excellent at \$85.

Subject Re: Re: Re: never a dull moment
Entry 07/30/2026 12:24 PM
Member acm2025

I suppose you could view the non-interim tag as the board has been waiting a while to do this and now is the right time? Wouldn't be the first board to have the successor CEO sitting as an independent on the board learning about the company.

But I've also seen situations where you have a guy that you like and they won't take the interim because they know you are pretty jammed up (that's never how they frame it of course...)

I hadn't considered that they are going to drop terrible enrollment numbers next week...

Subject Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 12:28 PM
Member acm2025

If enrollment sucked I just think we (I mean really you two) would have sniffed it out. School closings, contracts, facebook/reddit/etc.

Subject Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 01:11 PM
Member scott265

I appreciate the confidence but you are expecting too much of me then. It's been a year of canvas issues, school closings with mitigants and reading the social media threads does not give you the warm and fuzzies.

Subject Re: Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 01:18 PM
Member starfox02

seconded... it is really hard to know samples/bias/etc and the majority of parents probably quietly make a decision without talking about it online. I will say that the LSOA thing actually made me more bullish (counterintuitively) because of the level of freak-out among parents whose kids were going to LSOA - they literally didn't know what to do, they felt like their world was ending - which suggests there's not a lot of competition and also that for many parents, Stride is mission-critical / not easily replaceable... again probably some sample bias because people who had signed up weren't (tautologically) the ones who decided not to sign up. But still.

I will say that structurally, I think the long term outlook is fine. In general I think people have short memories and other comparable situations (CMG, SONO, etc) suggest that these sorts of bumps in the road don't necessarily change where a company ends up / don't result in structural impairment. The natural churn of families / the somewhat low historical retention is also sort of a positive in that respect because every year there are new kids needing a different educational solution... so where LRN ends up in 5 years probably has less to do with what happens to enrollment this summer, whether it's down 10 or up 10 or somewhere in between. But clearly the stock will react a lot to whatever number that ends up being, and so far it's seemed to be a shoot first, ask questions later kind of deal. Guess we'll see.

Subject Re: Re: Re: Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 01:34 PM
Member acm2025

The only other comment I have is if you infer something from the fact that they didn't include a statement about enrollments being strong/fine in the statement today...

Subject Re: Re: Re: Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 01:59 PM
Member scott265

I think if they had included that we would not be having this discussion today!

As I said in my post, they included the financials. You can possibly view that as the typical business is fine playbook. But you can also say well why then why not also give guidance.

Could be b/c (1) it's not an earnings release and so that's not what they do (2) they wanted to communicate the quarter was fine b/c it was and I'm thinking too much about it (this seems unlikely (3) they want to do it with a call (4) they don't get the market

or of course it's awful and they don't want to say it

Subject Re: Re: Re: Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 02:16 PM
Member scott265

If it's good, I'm perplexed why not just say it. If it's bad I'm perplexed that a company that still has a board that is likely being deposed for last October's lawsuit would do anything that at all leaves the market confused as to direction of business.

I will point out that August 4th of last year they said guided to 10-15% enrollment growth for forward year but also said they are only 50% through the season. BTW this shocks me....8/5/25 and you are half way through enrollments when you are 100% through public school openings by the day after labor day and knowing prob 70% of public schools (particularly in more right leaning states) will have started school by end of August?

So there is a chance it's just too early to be sure.

Subject Re: Re: Re: Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 02:45 PM
Member roojoo

IR told me a while ago that having guided in Q4 of last year was a mistake and that this year they wouldn't guide until Q1 when they have more visibility.

Subject Re: Re: Re: Re: Re: Re: Re: Re: never a dull moment
Entry 07/30/2026 02:58 PM
Member scott265

Maybe but that IR guy left and here's what CFO said last quarter in prepared remarks which I think is far more relevant: Given this quarter's results, we expect total revenue per enrollment for the full year to be up roughly 2% from last year. We've received a lot of questions about next year's enrollment expectations, and I want to reiterate that it is still very early in the enrollment season. We should have a better picture of the enrollment landscape during the fourth quarter call as well as more color on the funding environment as states finalize their budgets in the coming months.

My final two cents...if news was really bad on enrollments they'd say it but James being let go decreases the chance of a great result.

The wide middle to me of 2-5% enrollment growth gets me to \$110 plus at 8x. Not said with confidence and I can have egg on my face next week but that's my view. Less chance of \$135 plus but also less chance they'd ever put fins in and say nothing and then let new CEO walk into new lawsuits from a stock drop and a crap first day and start. BTW even if enrollments drop 5% I think you get a \$80 stock price at 6x so part of this is just risk/reward.

Subject	bearish
Entry	07/30/2026 03:00 PM
Member	Ray Palmer

Realize I'm not breaking new ground saying the sudden CEO exit isn't exactly great, but I'll note that I see tons of bearish signs here

- including trailing financials but no update on enrollments (what really matters forward looking)
- putting in a 71 year old in a business undergoing some type of tech shift (or at least at risk of one)
- CEO's new contract calls for equity awards to get granted in fiscal 2027. Not now. Not upfront. In fiscal 2027; feels like they're getting ready to kitchen sink so they're waiting to give the equity till the stock is lower.
 - I will note new CEO sold his last company and his contract seems very focused on a change of control, so i wouldn't be surprised if that's the endgame
 - will also note i'm basing this on the summary 8-k; we haven't seen the full contract yet. so very possible i'm wrong!

Not saying any of that is a firm view. I've looked at the company and thesis before and generally like it. But I'd be lying if I said I didn't look at the \$80 strike puts for august when I saw this release....

Subject	Re: bearish
Entry	07/30/2026 03:07 PM
Member	scott265

I agree on first point..that's why it's the discussion here and stock is down.

I think I view this as less tech sensitive and far more of a regulatory business. James was aggressive and not loved by the non-business people and had his series of issues.

We are in fiscal 2027 and they have no idea where stock trades after this news and enrollments so unless the board is really trying to manipulate this isn't the standard language about equity awards the likely one? I agree if we saw him get his equity award yesterday at \$98 you'd be psyched but they would never do that b/c they know CEO firing has stock fall. They can't give it to him and also say and btw "it's a home run for enrollments"

Subject	bullish
Entry	08/04/2026 08:05 PM
Member	starfox02

"Applications are tracking slightly behind this time last year, but we're seeing improved conversion metrics and re-registration activity continues to track slightly ahead of last year." That sounds like flat to me, maybe plus minus LSD, which all things considered is a fine outcome with the tech issues, Canvas issue again at year-end (not their fault but still), LSOA closure, etc - especially since LRN has shown an ability in past years to grow enrollment in-year, which they didn't do this past year due to the tech issues. Also sounded like modest growth on ARPU so overall they should see revenue growth.

Then CFO later: "As a result, even with healthy demand and solid execution, year-over-year count date growth may appear more modest than what we've seen over the past few years. Keeping that in mind for FY2027, seasonality should remain generally consistent with years prior. [...] But the other thing I will point out to you is that, we cut off our enrollment last year earlier than usual. And so while it's still early to say what that will look like for FY2027, what I can say is I would not expect for us to cut off in year enrollment to the same capacity that we did last year. And so I hope that information is helpful for you."

It would also be quite strange/odd for an incoming CEO and long-time Board member to blow his credibility on day 1 by giving this sort of guidance and then reporting -10% enrollment in a few months.

As Scott (or someone else) mentioned, given that school starts in a few weeks in much of the country, there should be at least decent visibility. I suppose it's possible that they have had to spend more on marketing to generate applications/conversions, but it certainly doesn't sound like the business is collapsing - and at any sort of multiple, the stock should be up 50% within 18 months. Also glad to see they extended the buyback auth.

Finally, think it's interesting that they appointed a new CEO who seems somewhat respected in education / politically connected - maybe relevant to opening up new geographies. And to Ray's point, you usually don't appoint a 70+year-old-CEO for a 5+ year plan, so it seems to increase the odds of a sale in the next few years.

Maybe less of the pop we were hoping for this year but still seems like a quite good r/r over the next year, and the story should get much cleaner from here - comps start getting easier, tech issues in the rearview mirror, etc.

Subject Re: bullish
Entry 08/05/2026 05:21 AM
Member scott265

Detail below but high level I think the math leads to the 5-10% good case for enrollment and for 10% bottom line growth. The risks (re reg, LSOA, canvas, James and his firing) are now rear view and we have new CEO who seems focused on shareholder value and has delivered in past. I think we can finally start to move to an appropriate multiple of 8-10x EBIT and pass \$100 (i could be dreaming of today but shorter term)

1. I think everything we hear has to be taken in light of last year when they gave guidance and then had issues. Plus new CEO. Seems reasonable to think almost everything is conservative.
2. Remember last year they grew 11% in 1q. BUT they came out in October with the blow up and said they lost 10k-15k enrollments (4%-6%)...so let's say apps last year grew 16%. They are saying apps slightly off but conversion better. Note this is before they hit issues in August 2025 so the conversion is not related to the issues. My belief is slightly off is truly slight and the conversion language means over taking it. So let's say we are growing 17% from two years ago. We know rereg better than last year so that is a positive at minimum. So growth in 1q which is the weakest quarter could be growing 6% (17-11%) in apps/enrolled and re reg positive or better. So 6% in the hardest quarter of the year. After this they will have reasonable benefit from re-enroll windows that were not open. The year could be 8% total enrollment growth. The net of all above is I think we hit the 5-10% enrollment growth.
3. 5-10% enrollment growth will almost certainly lead to 10%+ bottom line growth
4. You now have a CEO who seems competent, respected and focused on capital returns/shareholder value. The company bought back \$100mm in 4q and he promised more ASAP.
5. We have moved from a discussion of Canvas, LSOA, how many students will leave b/c they hate canvas after year ends and then CEO departure. We moved from many issues to basically just some amorphous long term AI risk which seems likely to be helpful to their teaching ability and outcomes.
6. I could argue this is the best this one has ever looked. I think we are \$550mm plus in forward ADJ ebit. If we finally get the 9x on that's the \$130. I know it's not a today thing but would think we at least get close to 7x or \$105 over some shorter term.

Subject bargaining stage
Entry 08/06/2026 10:56 AM
Member scott265

I think I'm in the next stage of the investing framework...which is maybe bargaining.

Did I miss something in the call or out there?

I thought at 80 before earnings the bet was no blow up and you'll be Ok. Anything decent and you'll win big. I thought we hit the nothing bad and in fact back

to growth. Instead it seems like i owned return free risk. Yesterday I assumed just some event trading but obviously another day of down starts to shred that thesis.

Anyway I wanted to walk through enrollment numbers b/c I think it illustrates why I think the upside is so big here. There's no real analyst coverage so maybe it's not clear.

Here is calculation of ending enrollments at each date (they give end as of Sept 30th and the rest are interpreting the average based on what they've given)

June 2024 188,300

Sept 2024 222,600 (net add 34,300)

December 2024 238,600 (net add 16,000)

March 2025 241,800 (net add 3,200)

June 2025 228,800 (net subtraction 13,000)

Sept 2025 247,700 (net +18,900 this is the quarter where Canvas hit Aug/Sept and they said no infills for year)

December 2026 249,300 (net +1,600)

March 2026 239,700 (net -9,600)

June 2026 228,700 (net -11,000)

Some thoughts before I give me view of forward enrollment. Sept 2025 Q end they said they gave up 10k-15K enrollments due to conversion (literally people could not enroll after agreeing to do b/c of canvas). Note they added 18,900 in that quarter. The year before Q end Sept 2024 they added 34,300. Obviously those numbers closely tie as 18,900 plus 12,500 mid point gets you to 31,400. The CFO guidance for enrollments was that apps were down slightly and conversion was up slightly. Remember at this point last year they were at an application rate to get 30-35k net enrolls. If you assume apps down slightly/conversion up slightly is neutral and retention is a positive. It seems like we are headed to 30-35k net adds.

Second point is that you can see the affect of essentially not infilling. Remember after canvas issues in effort to appease the school districts and be able to fix the issues they mostly halted in fills. You can see that effect in FYE 2026 vs 2025 above. Despite growing 1q enrollments YOY you end up in same spot by end of year. This year this will reverse.

I'm not sure if she confused people on call by saying we have tough comp but here's how it looks if you take all of FYE 2025 net adds. It's true that revenue growth will lag the enrollment growth as they are paid on average students but that will quickly correct itself. Maybe some of this lack of response from stock is no explicit guidance but when you know retention is higher and if you just assume apps are down slightly and conversion up slightly are nueyts; and assume last year they lost the 10-15k students who were basically in funnel but could not enroll, you can get to the 30-35k net add number quite easily. In addition we know they've only given positive indications of the business and how's it going.

Sept 2026 263,300 (6.2%)

December 2026 279,000 (11.9%)

March 2027 282,200 (17.7%)

June 2027 266,200 (17.7% growth)

So here's where we stand. If I take the business from FYE 2025 before they hit canvas and use those enrollment net adds (which you can infer by using averages to get quarter end numbers). The business will grow 15% enrollments. That would lead to prob 20-25% earnings growth.

If this is growing 20% and gets to \$600mm in EBIT from \$500mm and you put 10x EBIT you get to \$153. That's my base case. Set up against 5x EBIT if you just assume it stays flat.

This to me feels like the best risk/reward this one has ever had with the chance to get growth and multiple set up against not much downside.

All the other moves have made sense to me...this one I truly don't get. You have \$25/share of cash. You have cash generation. You have some guidance (yes soft) that can get you to obvious high growth numbers.

I'd love to hear thoughts as to why no one cares.

Subject
Entry
Member
Scott,

Re: bargaining stage
08/06/2026 01:24 PM
starfox02

I'd have to think about the finer points of your math and I might be more conservative. But unless there's some big news that I'm missing, no, I don't think you're missing anything. Sometimes the market is just crazy.

One of my holdings (Grocery Outlet) sold off to below \$6 earlier this year... was trading at like 4x EBITDA or something at the trough, implying the business was collapsing (when really it was just a soft quarter / some execution issues, not too dissimilar from Stride... and, like Stride, a fairly acyclical, macro-independent type of business.) At that point, all insiders were buying hands over fist. This wasn't some tiny micro-cap but a reasonably liquid small cap, like LRN... the stock is now at ~\$10 one quarter later. Still very cheap but up 60-70% from trough. The CEO has worked with private equity before and is tremendously respected, so it seemed pretty obvious that 4x EBITDA was the wrong price - I think PE firms would be lining up out the door to buy it at 2x that multiple. Is this also the case for LRN? Maybe not at 2x but - wouldn't PE trip over themselves to buy this at \$120 and lever it up?

The point is that sometimes the market just gets it wrong and if the market always got it right instantaneously, you and I would be out of a job. I'm buying more LRN today. I know it's probably a bigger / higher conviction position for you so maybe you don't have the capacity to do so, but you're not crazy. If we're wrong, which is certainly a possibility, I don't think it's because we're overlooking anything obvious.

So my thought as to why "no one cares" is that markets are dumb sometimes. The cash and cash flow are there, and the market is just choosing to value that at a multiple that implies vastly more pessimistic assumptions than you or I have, or than seem to be supported by all data available to us at this time. In a year or two we'll either be right or wrong and the stock price should reflect that, but as you pointed out yourself, everything should be "clean" and an easy comp after October.

Subject
Entry
Member

Re: Re: bargaining stage
08/06/2026 01:57 PM
scott265

Thanks for responding. I hear you And agree, it happens.

Maybe this as simple as ppl saw neg average enrollment in 4q. If you don't understand (1) what happened last year and (2) unlike a for profit college how much of the biz is in fill b/c you can join anytime (bullying, mental health, etc) you may just say show me growth and I'll pay you 8x-10x EBIT. Or maybe it goes to \$90+ in a couple days once some seller dries up and I stop asking why.

And hence the opportunity. Take a look at the numbers but they are no more than (1) figuring out ending enrollment via average calcs (2) simple addition/subtraction of the numbers implying they grow like they did prior to Canvas math exercise. I don't even think that's aggressive but more a well if you are glass half full analysis that's the base case b/c no reason why not.

Subject
Entry
Member

Re: Re: Re: bargaining stage
08/06/2026 03:23 PM
Rtg123

FWIW I agree with the math you are running scott. The tone of the call was just alot more subdued than you'd expect if management actually believed that was anywhere near the base case. That said, biz isnt falling apart and this new CEO seems much more shareholder friendly (love focus on buyback here).

Subject
Entry
Member

Re: Re: Re: Re: bargaining stage
08/06/2026 04:15 PM
scott265

They are committed to not explicit guidance after last year. Last year CFO came out with 10-15% enrollment (when in fact they would have grown 18% if you give them the 10-15K) and she thought she hit perfect conservatism. Days after they hit the canvas issue and spends a year looking like a moron and being sued. Everyone tells you you have no credibility. Only way back is start the daisy chain again of setting low expectations and beating them. They own crap for stock so what do they care? I've gone through the call (a couple times as you can imagine) and while of course in short term I want them to be explicit, you won't find anything in there inconsistent with a company that can grow like that.

I think the high level question to ask IR is there any reason you can't grow like you did prior to Canvas. Has anything changed in the intervening year that leads you to think you can't grow like you did prior to Aug 2025 issues.

I'm at a very high percentage they can grow like they did and right now is a bizarre mix of no explicit guidance, frustrated seller and market viewed as a not credible management team.

If you do believe it, then you'll get a 20% growth in earnings (versus flattish expectations) with prob a 50-100% increase in ebit multiple. And if you think the biz is at least stable you won't lose.

Subject
Entry
Member

Re: Re: Re: Re: Re: bargaining stage
08/06/2026 05:18 PM
scott265

I'm frustrated with the stock price and you readers are the victims but let me say one more thing with existing numbers:

Utilizing same numbers of net adds from before (copied table below) here are the net differences of the nets and you tell me if this were retail stacked comps what comes next?

Sept 25 vs 24 Neg 15,400 (i.e pos 18,900 - pos 34,300 or real words they had 15,400 less net adds than prior year)

Dec 25 vs 24 Neg 14,400

March 26 vs 24 Neg 12,800

June 26 vs 25 Pos 2,000 (first time net adds higher than prior year net adds in a year)

Sept 26 vs 25 (my answer is net ads were 34,300 two years ago before canvas...so isn't best lame retail stack comp/(or some macro guy droning on about the rate of change on rate of change inflection he say) BS answer something like greater than 36,300 or since bigger absolute numbers than June)

1. June 26 vs June 25 has no effect of pulling back on marketing. It's pure my comment of can they grow like did prior to Aug 2025 and if anything you'd expect June 26 to be slower in ramping back their engine.

2. If this were actually a followed stock by an real analyst this would be an inflection catalyst. No one cares b/c they didn't spoon feed it out and didn't tell yell at you growth is inflecting.

3. I get it..there is uncertainty b/c they are not explicit and hence the reason the stock is not at over \$100 (for now I assume). But even if you think anything out of their mouth is BS (so asking them if anything changed and is it possible to grow like pre canvas doesn't matter) and you have a hard time believing the screw up last year/conservatism theory....don't you just extrapolate the above?

Next quarter we will get net adds. If they are 30,000 net adds or more it won't matter how conservative they are in guidance b/c we can then really extrapolate to 16% growth or more (34,300 is 18%) If this becomes a real possibility after next quarter \$580ish in EBIT and prob 9 or 10x and hello \$143/share (with \$25 cash/share protecting you and then dragging the upside) discounted by how much you still doubt the trend.

Numbers from before

Sept 2024 222,600 (net add 34,300)

December 2024 238,600 (net add 16,000)

March 2025 241,800 (net add 3,200)

June 2025 228,800 (net subtraction 13,000)

Sept 2025 247,700 (net +18,900 this is the quarter where Canvas hit Aug/Sept and they said no infills for year)

December 2026 249,300 (net +1,600)

March 2026 239,700 (net -9,600)

June 2026 228,700 (net -11,000)

Subject	Re: Re: Re: Re: bargaining stage
Entry	08/06/2026 08:50 PM
Member	acm2025

Scott – you know I've been in this with you a while. I have read that call about 3 times now. I understand your interpretation and I even think I agree with it (that the enrollment data is fine). But man is the language muddled. I'm a lawyer who does this stuff, I understand why it's muddled. But I've read it 4 times and I do think it's reasonable to come up with the interpretation that the data they are seeing isn't great, but they are hopeful they can fix it.

Oh and the beginning was weird too. "We fired the old guy, I'm the new guy, here are my credentials." I know it doesn't matter long term, but I would have had someone else from the board on to introduce Knolling.

Long term, I do think it makes sense for this company to be private. Less risk with legislatures/districts/parents knowing how profitable you are and probably easier to withstand some of the constant negativity that will often surround a business like this (unions, parents, etc.).

Subject	Re: Re: Re: Re: Re: bargaining stage
Entry	08/06/2026 09:12 PM
Member	starfox02

ACM - *"But I've read it 4 times and I do think it's reasonable to come up with the interpretation that the data they are seeing isn't great, but they are hopeful they can fix it."* Would you mind sharing the exact quotes you're looking at? I see them saying apps are slightly down, retention slightly up, conversion slightly up... what am I missing?

Subject Re: Re: Re: Re: Re: Re: Re: Re: bargaining stage
Entry 08/06/2026 10:11 PM
Member acm2025

As I said, I don't favor this interpretation. But here it is:

Applications are tracking slightly behind this time last year, but we're seeing improved conversion metrics and re-registration activity continues to track slightly ahead of last year

This was the agreed upon language obviously. Does slightly mean 1%, 5%, or 10%? Surely not 10%. But I think if apps are down 8%, conversion is up 2%, and re-registration is up 1%? I think that's probably still not a great number.

Silber asked Donna to give a directional answer to last year and she wouldn't do it. They are obviously modeling the heck of this and probably know what it is within a few points.

Then there was:

I know you want me to give you an enrollment number and I'm probably not gonna give you an enrollment number that's gonna make you happy, after talking about how it will be a tough comparison because they lost students over the year. I'm 98% sure she's just saying "my vagueness is not going to make you happy." The reference to having longer this year (labor day is extremely late this year) is interesting too. Maybe soft signaling that they feel like they have time to make it up.

Anyway, I don't think this is the better interpretation. I think everything that Donna said after those three data points was just window dressing. But they abruptly canned their CEO and it's probably reasonable to assume if the data was great they would have gotten it across more clearly. And just no one is going to give them the benefit of the doubt right now.

I'm still in the name and will be buying more. But I'm not as shocked by where the price sits as maybe Scott is. This is basically where the stock sat in June after Claude whatever dropped. Do you feel better about LRN today than you did on that day? I think we all three thought that drop was very dumb, but I think lots of investors would feel worse about the stock today just based on the CEO news.

Subject Re: Re: Re: Re: Re: Re: Re: Re: bargaining stage
Entry 08/06/2026 10:22 PM
Member starfox02

Understood. I feel like 8% is quite a bit more than "slightly" - fwiw Gemini, ChatGPT both guess* that "midpoint" is 2.5% and the 20th/80th percentile is around down 1 to down 5. I think down 2-3 feels about right. Given that they are large "language" models I think that they probably would have the right answer on this sort of thing. I think most people interpret "slightly" as low single digit. I would also point out that this comment was in the prepared-remarks section, stated by the new CEO - so I'm guessing it went through many rounds of review and wasn't some off the cuff comment in Q&A; from an incentives standpoint I'm also not sure why you would want to blow up your credibility on day 1 by saying something most people would interpret as "down LSD" or maybe "down MSD" and it turns out to be HSD-LDD. But I'll leave it there because this is all just guesswork anyway; I guess we'll see in a quarter but I would argue that even if enrollment is flat to down slightly this year to start the year, that was within the range of possible outcomes and presumably next year they have a much cleaner story, not to mention they should have positive sequentials during the year vs negative sequentials last year.

*Prompt if you want to replicate - *"If an executive says some metric is 'slightly' down, what would your midpoint and 80th/20th percentile ranges be on the actual number in percentage terms?"*

Subject Re: Re: Re: Re: Re: Re: Re: Re: bargaining stage
Entry 08/06/2026 10:44 PM
Member acm2025

Can only imagine how much haggling went over what they were going to say on that.

I think you are absolutely correct that even if the enrollment is middling the set up is still good. It puts off lots of cash, has a couple nice moats, and remote schooling has a clear tailwind in the US imo.

Subject Re: Re: Re: Re: Re: Re: Re: Re: bargaining stage
Entry 08/06/2026 10:47 PM
Member RockMirror

"I'm also not sure why you would want to blow up your credibility on day 1 by saying something most people would interpret as 'down LSD' or maybe 'down MSD' and it turns out to be HSD-LDD" -> Before HONA's debacle from last night, I was of the same view but a lot less so now - I know what people will say, given the spin-off at Honeywell, incentives for expectations setting were different. But that's with the benefit of hindsight - perhaps there's something here too or maybe not. Just giving a lot less weight to idea of "new management so outlook must be low-balled"

Subject Re: Re: Re: Re: Re: Re: Re: Re: bargaining stage

Entry
Member

08/07/2026 08:16 AM
scott265

Thanks for the back and forth.

1. last year at this time, they were on track to do 17% enrollment growth from Sept 2024 to Sept 2025. They were 50% of the way through enrollment and were happy with the trends as of 8/5/25. Then they hit a technological snag in August and September that cost them 10-15k enrollments. These losses caused them to come in at 11% enrollment growth. To use actual numbers, they added 18.9k students from June '25 to Sept '25. Had they been able to convert the 10-15k extra students, they would have added 28.9k - 33.9k students. This year, they are tracking roughly flat yoy with the first half of the enrollment period (you can disagree with flat, but that is how i parse Donna's language). I interpret this to mean they are on track to deliver 29-34k students sequentially from June to Sep '26. I believe this is much higher than the market is expecting and while it would only be 4-6% grow from Sept 25 to Sept 26, it sets the company to grow much higher in the back half of the year. which leads me to point

2.They shut off their marketing engine right about now last year. In-year enrollment is important and it was 25k students lower in F26 than F25. They are back to fully marketing during the school year after pausing last year, so i see no reason why they can't do another 25k in-year enrollment number this year.

If i am right about 1 and 2, then i have the company returning to double digit enrollment growth by the March 2027 quarter but will be visible once we see Sept quarter end as a trend. I think the market is assuming flat meaning no enrollment growth.

Even higher level in FY24 they had net adds of approx 20,000 in FYE 25 approx 40,000, FYE 26 it was 0. What do you think the next number is? For me when I know they shut down marketing and had issues in 26 I throw it out as a useless number.

Subject Thoughts After Speaking w/New CEO & CFO
Entry 08/07/2026 02:33 PM
Member bigvic

My thoughts after 1x1 call w/Bob (new CEO) and Donna (CFO):

- **James Exit:** Of course, Bob and Donna would not tell me what happened w/James (old CEO) but this is my interpretation/speculation based on their reactions/responses to my questions and following LRN for ~2.5 yrs. W/that major caveat...I think James was abruptly fired due to his attitude/communication w/employees, the Board, vendors, and customers. I say "abruptly" but I suspect the Board's frustration had built up over time and they finally had enough. More important, I do not think James was fired b/c the fundamentals of LRN were deteriorating but likely would've had a longer leash if the Canvas debacle didn't happened.
- **Bob's Credentials:** I think Bob is a good candidate to lead LRN today b/c he: 1) brings a calm demeanor that LRN's employees, customers, and vendors needed, 2) is focused on improving student outcomes & that should lead to higher LT shareholder value, 3) could help LRN win contracts in more liberal states based on his background & notably the 10K added "as we attempt to expand into **more traditionally liberal or progressive states**", 4) seems to be more shareholder-friendly & willing to aggressively repurchase shares, and 5) is already 71 years old, was director of four companies acquired, & therefore seems like a ST bridge that could lead to a company sale. I agree that LRN could be better served as a private entity given the required disclosures leading to public scrutiny.
- **(Informally) Guided to FY27 Growth:** Most of the time, new CEOs want to provide conservative guidance. Donna also has a reason to be conservative after last year. I don't want to add to over-analyzing the EC, but I think mgmt. intended to guide to slight enrollment growth and flat margins. Importantly, they also expect in-year enrollment growth and turned back on the marketing engine that should help growth.
- **Significantly Undervalued:** LRN priced as a fraud or melting ice cube at only ~6x after-tax FCF. This can't persist if truly market leader in growing market.
- **Buybacks:** LRN finally remembered its best use of its large net cash balance is to buyback its cheap shares, so pleased to see \$100mm in 4Q26 alone. I expect significantly more buybacks and think LRN could become a share cannibal, which should accelerate EPS growth and create substantial LT shareholder value.

Subject Re: Thoughts After Speaking w/New CEO & CFO
Entry 08/07/2026 02:47 PM
Member starfox02

bigvic - I'm at a very different number from you on FCF. why are you excluding the real costs in the cash from financing section? It's cheap but not that cheap - they pay for the devices they send students/etc which is a real cost.

(edit - and, thanks a lot for sharing the call notes, very helpful)

Subject Re: Re: Thoughts After Speaking w/New CEO & CFO
Entry 08/11/2026 01:38 PM
Member bigvic

I generally reduce EV by Cap Leases, but fair pt given size of Cap Lease Amort/Repayments. Then implies LRN trades for ~8.5x LTM UFCF. For perspective, LRN traded for an average of 20x UFCF b/t reporting 4Q25 earnings and 1Q26 earnings. If returned to 20x UFCF, then would imply \$160/sh before considering future profit growth, buybacks, or cash generated. Maybe never gets back to 20x but current valuation seems unsustainable.

Subject	Re: Re: Re: Thoughts After Speaking w/New CEO & CFO
Entry	08/11/2026 02:33 PM
Member	starfox02

I completely agree on it being too cheap here; I was just wondering if there was something I was missing as I have seen you and others exclude the ongoing finance-lease costs. Thanks.